

UNGA GROUP PLC

ANNUAL REPORT AND FINANCIAL STATEMENTS

FOR THE YEAR ENDED 30 JUNE 2024

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CORPORATE INFORMATION

DIRECTORS	I Ochola-Wilson (Mrs) J Choge- Resigned 31.05.2024 J K Kibet V O Ojode A McKittrick P O Obath S Haria (Ms) A S M Ndegwa W Wangari C Miringu	Chairman
SECRETARY	Winniefred Nyagoha Jumba Plot LR. No.209/6921 5th Floor, West Wing ICEA Lion Centre, Riverside Park Chiromo Road, Westlands Nairobi	
REGISTERED OFFICE	Plot No.209/6841 Ngano House Commercial Street Industrial Area P O Box 30096, 00100 Nairobi	
REGISTRARS	Custody & Registrars Services Limited 1st Floor, Tower B, IKM Place 5th Ngong Avenue P O Box 8484, 00100 Nairobi	
AUDITOR	PricewaterhouseCoopers LLP Certified Public Accountants (Kenya) PwC Tower, Waiyaki Way/ Chiromo Road, Westlands P O Box 43963, 00100 Nairobi	
BANKERS	Absa Bank Kenya Plc The West End, Waiyaki Way P O Box 30120, 00100 Nairobi	
LAWYERS	Coulson Harney LLP 5th Floor, West Wing, ICEA Lion Centre Riverside Park, Chiromo Road, Nairobi PO Box 10643-00100 Nairobi, Kenya	

CHAIRMAN'S STATEMENT

Introduction and Context

As we reflect on the past financial year, I must begin by acknowledging the complexity of the operating environment in which Unga Group has been navigating. We have faced a myriad of challenges that required us to reassess our strategic direction and adapt to shifting dynamics. This required several tough but necessary decisions, and I am confident that these have set the stage for a more resilient and focused Unga Group.

At the core of our response has been a resolute focus on operational efficiency, cost management, and customer centricity. We have undertaken a comprehensive review of our business model, resulting in a leaner organization better equipped to navigate the complexities of the market. We have taken a decision to concentrate on our core competencies and divest from non-core businesses, which has enabled us to optimize resource allocation and enhance our competitive position.

Navigating a Volatile Landscape

The financial year 2023/2024 presented an exceptionally challenging operating environment characterized by unprecedented economic volatility, geopolitical tensions, and adverse climatic conditions. The combined impact of these factors exerted significant pressure on our business, necessitating a strategic reassessment and decisive action.

The political situation has remained uncertain, and when combined with global and local economic constraints, our activities have faced significant challenges. High borrowing rates, which climbed as high as 21%, and a fluctuating exchange rate, which have substantially raised our operational costs.

The impact of global disruptions has stressed supply systems, making it difficult to forecast when raw materials will arrive and at what price. Locally, the erratic weather patterns of 2023 had an impact on the quality of raw materials, particularly maize, requiring us to reject substandard supplies in order to preserve the excellent quality of our products. This has resulted in paying a premium for the high-quality maize we require, adding to our cost base.

The high cost of living has also weighed heavily on consumers, affecting their purchasing power and, consequently, our sales. Additionally, relentless competition in the market has eaten into our margins, making it essential to continuously optimize our operations.

In light of these challenges, the Board has had to make difficult decisions, not just in terms of organizational structural changes but also in terms of our strategic focus. We have revisited our strategic plan, which initially aimed at fortifying our market presence, exploring new business areas, and fostering a high-performance culture. Given the current realities, we have chosen to scale back on our ambitions to explore new businesses and instead concentrate on strengthening our core operations.

Returning to Our Core

The decision to exit some non-core businesses, such as our venturing into sugar under the Amana brand, was driven by the need to remain aligned with our strengths. The Board recognized that venturing too far from our core competencies in such a challenging environment was not sustainable. While it is always difficult to let go of new opportunities, we believe that this decision allows us to focus on what we do best—delivering high-quality products in our core sectors of human and animal nutrition.

Our renewed focus on our core business has already begun to yield positive results. This renewed focus has also rejuvenated our employees, creating a stronger culture within the organization and fostering a sense of optimism about the future.

CHAIRMAN'S STATEMENT (continued)

Strengthening the Leadership and Streamlining Operations

A major highlight this year was the restructure of our leadership in December 2023. This decisive action enabled us to optimize our processes and develop a leaner, more agile leadership team capable of making quick and informed judgments. This restructuring was about more than just cost savings; it was about empowering our employees and improving performance at all levels of the business.

The new management structure has already had beneficial results, including improved internal processes, a sharper focus on customer satisfaction, and increased involvement with key stakeholders. As a result, the Unga Group is more responsive and better positioned to meet market demands and address future challenges.

The new management team brings a wealth of experience, particularly in operations, and we are confident that this will drive the business forward. James Nyutu, who was previously our Group Finance Director, has stepped in as the interim Group Managing Director. His deep institutional knowledge and industry experience have proven invaluable as we refocus on our core strengths.

Building a Customer-Centric Culture

As we rethink our strategy, becoming more customer-centric is a primary objective. We acknowledge that in the past, we may have lost sight of our customers in the midst of intense competition. However, we are now recommitting ourselves to getting closer to consumers, both in retail and general trade. By putting the consumer first, we have deepened our connections, improved product offerings, and increased overall satisfaction among our customers.

We have also strengthened our partnership with Nutreco to ensure that our product quality remains uncompromised. This commitment extends to our new partnership in fish feeding, which aligns with our core expertise in animal nutrition and reflects our ongoing efforts to innovate within our established business lines.

Sustainability: A Key Pillar of Our Strategy

Sustainability remains a central pillar of Unga Group's strategy. We are proud of the progress we have made in reducing our environmental impact, particularly through our solar power initiative. We have recorded significant energy cost savings, which not only benefits the bottom line but also aligns with our broader commitment to sustainable business practices.

We also remain firmly focused on building stronger relationships with our stakeholders, including employees, customers, suppliers, and the communities in which we operate.

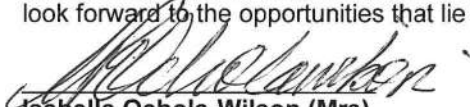
Looking Ahead

While we have made significant progress, we recognize that challenges persist. The ongoing volatility in the global economy, coupled with intense competition, necessitates continued vigilance and adaptability. Nevertheless, I am confident in the resilience of our business and the capabilities of our team.

As we move forward, Unga Group is entering a new era—one characterized by focus, resilience, and a relentless commitment to quality. We are confident that the strategic decisions we have made will position us for sustainable growth, even in a challenging operating environment. Our leaner structure, strengthened leadership, and focus on core operations have already begun to deliver positive results, and we are optimistic about the future.

Appreciation

I want to extend my deepest appreciation my Board for their commitment, to our employees for their dedication and hard work, to our customers for their continued trust, and to our shareholders for their unwavering support. Together, we will continue to build a stronger, more resilient Unga Group, and I look forward to the opportunities that lie ahead.



Isabella Ochola-Wilson (Mrs)
Chairman

GROUP MANAGING DIRECTOR'S STATEMENT

A Year of Transformation and Renewal

I am pleased to present Unga Group's Integrated Report for the financial year 2023/2024.

From the onset, I wish to express my gratitude to the Board, management, staff, and all of our stakeholders for their trust and confidence in my abilities to lead the business as interim Group Managing Director.

The year under review was undoubtedly marked by challenges and transformation, presenting both hurdles and opportunities. It was also a year of recovery and recalibration, and I am pleased to report that we are emerging stronger, more focused, and better positioned for sustainable growth moving forward.

Reflecting on the internal operating context, it was marked by a complex environment characterized by economic volatility, supply chain disruptions, and intense competition. Domestically, the El Niño rains affected the quality of locally grown maize, further compounding the challenges we are facing.

Similarly, the external environment remained volatile, with political uncertainties lingering since the 2022 elections, high interest rates, and a fluctuating exchange rates that impacted our cost structure. Additionally, the war in Ukraine continued to disrupt global supply chains, making raw material procurement unpredictable.

Through strategic decision-making, operational excellence, and a relentless focus on our customers, we are navigating these challenges successfully. Despite these headwinds, we remain resolute in our commitment to delivering quality and value for our customers. We are fortifying our operations, maintaining our rigorous quality standards while ensuring that our core products remained accessible to our consumers, even in difficult economic conditions. Our outlook remains optimistic as we expect broader macroeconomic stability in the near future.

Financial Highlights: A Year of Recovery and Strength

Despite the challenges posed by the macroeconomic environment, Unga Group achieved significant milestones in volume growth and profitability in the financial year 2023/2024. We recorded a notable increase in margins, driven by the strength of our core product offerings and operational efficiencies. 4% volume growth was recorded, alongside a 2% improvement in profit margins. Our ongoing cost optimization efforts contributed to a 37 % improvement in operating loss.

While elevated interest rates impacted our financing costs, our cash flow management and prudent financial strategies allowed us to maintain a healthy balance sheet, with a Shs 2.1 billion net debt position and 89% growth in EBITDA. These financial achievements underscore our resilience and position Unga Group for continued success as we move into the next fiscal year.

Process Improvements and Cost Optimization

The organizational restructuring has been coupled with a deep dive into our processes. We continue with our journey of continuous improvement, mapping every stage of our value stream to identify non-critical activities that can be eliminated. In our animal nutrition business, this has improved efficiency, allowing us to better serve our customers and boost staff morale.

We have also integrated our human and animal nutrition businesses under a more focused leadership enabling better team collaboration and more efficient decision-making.

In addition, we have adopted improved procurement practices that have enhanced our financial performance. However, we continue to face challenges related to high financing costs. We expect to see the initiatives yield further benefits in the years ahead.

GROUP MANAGING DIRECTOR'S STATEMENT (Continued)

Customer-Centric Growth: Focus on Core Products and Market Presence

In our human nutrition division, we have refocused on our key brands which has allowed us to rebuild relationships with our key customers. By relaunching key brands and refining our product portfolio, we have renewed our commitment to delivering the top-quality products that resonate with our consumers.

At the same time, our animal nutrition division remains strong, driven by the growing demand for quality feeds in Kenya. Our focus on high quality feed products has boosted farmers' productivity and therefore supporting growth of the agricultural sector.

Maintaining Superior Food Safety & Quality Standards: A Differentiating Factor

Quality and food safety is a non-negotiable part of our legacy and has always been at the heart of Unga Group's operations. We uphold the highest standards for raw materials and final products than many other players. This commitment to food safety and quality is integral to our mission, and we are investing in greater consumer education to raise awareness about the importance of quality and the health risks associated with substandard human and animal nutrition alternatives.

By helping consumers make informed choices, especially in light of rising concerns such as aflatoxin contamination, we aim to build stronger, trust-based relationships with our customers.

Sustainability: Driving Long-Term Value Creation

Sustainability remains a key pillar of our strategy. During the year, we made significant progress in our solar power initiative, now 80% complete across our facilities. This project has delivered energy cost savings exceeding our initial expectations, reducing our energy costs by over 30%. We are also in the process of developing a comprehensive Sustainability Framework that will guide our actions over the next five years, aligning our operations with global best practices in environmental stewardship.

Looking Ahead: Building a Customer-Centric, High-Performance Culture

As we move forward, we are determined to continue embedding a culture of customer centricity across the organisation. Our goal is to exceed customer expectations in every interaction, from the quality and safety of our products to the ease with which customers engage with us. This will be achieved through further process improvements, a renewed focus on consumer education, and continued investment in our people and systems.

We understand that delivering a top-quality product is only part of the equation—communicating the value of that quality to our customers is equally important. To that end, we are developing a long-term, focused sales and marketing strategy that will emphasize the quality of our products and the trustworthiness of the Unga brand.

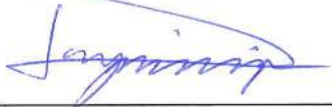
We are fundamentally reshaping our mindset and culture as we aim to be a more agile, responsive, and innovative food and feeds company, one that listens to its customers, consumers and consistently delivers value.

Appreciation

In closing, I would like to express my deepest gratitude to my colleagues, the Board, shareholders, customers, and partners for their steadfast support throughout the year. As we continue on this journey of renewal and growth, I am confident that Unga Group is well-positioned to continue creating value for all our stakeholders.

In 2024/2025 our focus will remain on achieving sustainable growth, deepening our customer relationships, and upholding the highest safety and quality standards across all our operations.

Thank you and let's continue this journey together.



James Nyutu
Ag. Group Managing Director

DIRECTORS' REPORT

The directors submit their report together with the audited financial statements for the year ended 30 June 2024, which disclose the state of affairs of Unga Group Plc (the "Company") and its subsidiaries (together, the "Group").

PRINCIPAL ACTIVITIES

The principal activities of the Group continue to be the manufacturing of human nutrition products, animal nutrition products and the distribution of animal health products.

BUSINESS REVIEW

The Group recorded a 1% decline in revenue while post-tax loss decreased from shs 959 million to shs 670 million.

The year started with high inflation, depreciation of the Kenyan Shilling, and high input costs. Favourable weather conditions and government support for farm inputs led to a bountiful harvest, which supported reduction in raw material costs and enhanced profit margins in the second half of the year.

Revenue decline was primarily due to lower selling prices implemented to maintain market competitiveness.

Sales volume in human nutrition decreased by 21%, whereas animal nutrition volume grew by 22% compared to the previous year. Overall, volumes were up by 5% from the prior year. Revenue decline was mainly due to changes in sales mix and pressure on selling prices in line with reduced raw material cost and competition.

The scarcity of foreign currencies in the first half of the year and limited cash flows resulted in significant foreign exchange losses and elevated finance costs albeit lower than prior year.

Credit risk remained high, but the Group continued to make every effort to accommodate its customers to ensure product availability. The Group will continue to strengthen partnerships to create synergies for sustainable growth.

Given the need to maintain healthy liquidity levels in the current challenging economic environment, the Directors do not recommend a dividend payment.

Summary financial performance

	2024 Shs'000	2023 Shs'000
Revenue	23,703,863	24,051,024
Gross profit	1,641,753	1,161,256
Gross profit margin	7%	5%
Operating loss	(275,601)	(440,582)
Loss for the year	(669,576)	(959,381)
Total assets	11,292,280	11,506,001

RESULTS AND DIVIDEND

The loss attributable to equity holders of Shs 449,552,000 (2023: loss of Shs 636,517,000) has been added to retained earnings.

In view of the need to ensure existing businesses maintain healthy liquidity levels in the current tough economic conditions, Directors do not recommend the payment of a dividend in respect of the financial year (2023: Nil).

DIRECTORS

The directors who served during the year and to the date of this report are set out on page 1.

DISCLOSURES TO AUDITORS

The directors confirm that with respect to each director at the time of approval of this report:

- a) there was, as far as each director is aware, no relevant audit information of which the company's auditor is unaware; and
- (b) each director had taken all steps that ought to have been taken as a director so as to be aware of any relevant audit information and to establish that the company's auditor is aware of that information

TERMS OF APPOINTMENT OF AUDITORS

PricewaterhouseCoopers LLP continue in office in accordance with the Company's Articles of Association and Section 721 of the Companies Act, 2015.

The Board Audit and Risk Committee monitors the effectiveness, objectivity and independence of the auditor. This responsibility includes the approval of the audit engagement contract and fees.

APPROVAL OF FINANCIAL STATEMENTS

The financial statements were approved by the Board of Directors on 26 September 2024.

By order of the Board



Winniefred N Jumba

SECRETARY

DIRECTORS' REMUNERATION REPORT FOR THE YEAR ENDED 30 JUNE 2024

ANNUAL STATEMENT BY THE CHAIRMAN OF THE BOARD NOMINATIONS AND REMUNERATION COMMITTEE

Dear Shareholder

As the Chairman of the Board Nominations and Remuneration Committee, I am pleased to present the Directors' remuneration report for the year ended 30th June 2024.

This Report complies with regulations contained in the tenth schedule of the Companies Act 2015 ("the Act") in relation to quoted companies Directors' Remuneration Report and the Capital Markets Code of Corporate Governance for Issuers of Securities ("The CMA Code").

This report contains:

- The background information on the Committee's members and role.
- A highlight of the current directors' remuneration policy; and
- The annual remuneration report.

Role of the Committee

The key objective of the Board Nominations and Remuneration Committee is to make sure that the Board comprises of individuals with the necessary skills, knowledge and experience to ensure that it is effective in discharging its responsibilities and to review the remuneration of Directors and senior management as well as the succession planning at Board and senior leadership levels.

The members of the Nominations and Remuneration Committee during the year were Mr Patrick Obath (Chairman), Mrs. Isabella Ochola-Wilson, Mr Jinaro Kibet and Mr Andrew Ndegwa. During the year, the Committee met five times. Details of attendance at meetings by Committee members are shown in the Corporate Governance section.

The committee's responsibilities have been set by the Board and are outlined in the Board Charter and the terms of reference of the Committee, which are both available on the Group's website at www.ungagroup.com.

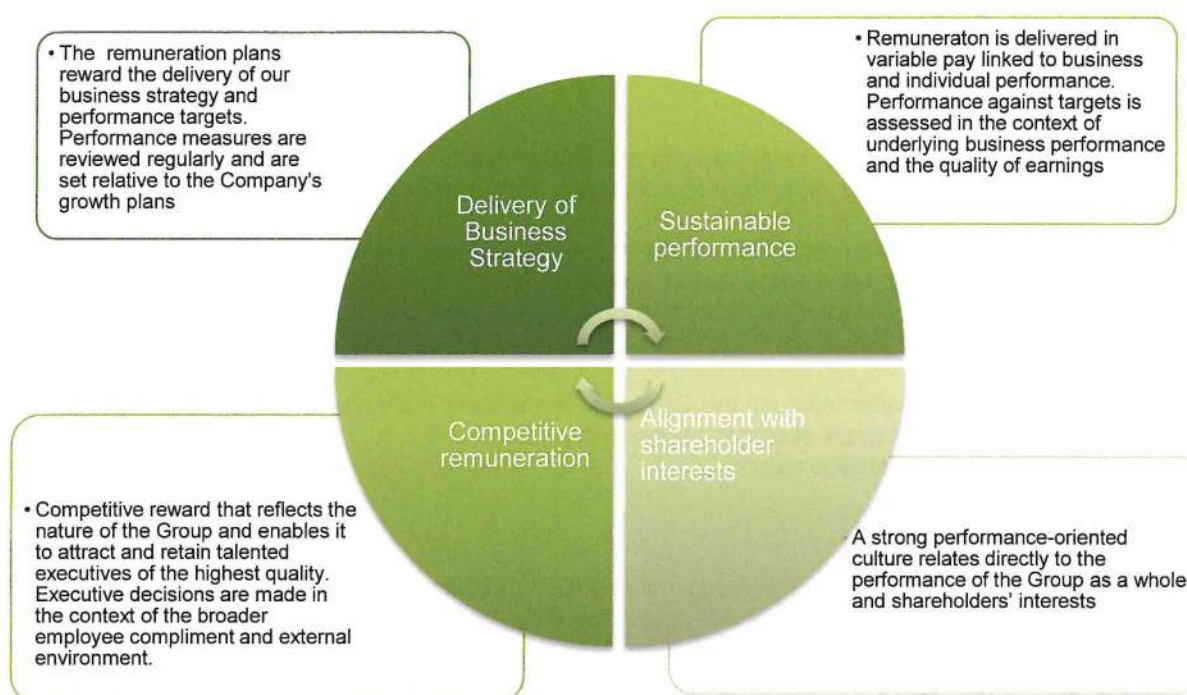
Our remuneration principles

The Board Nominations and Remuneration Committee in conjunction with the Board Human Resources Committee were guided by the Group's remuneration principles in decision making during the year. The Group's compensation principles are designed to reward the achievement of its strategic goals in a clear and straightforward way, ensuring alignment with the long-term sustainable interests of shareholders. The remuneration structure seeks to recognise the skills and experience of the Directors and ensure a market competitiveness for talent.

Unga operates in a competitive marketplace thus attracting and retaining exceptional leaders is crucial. Remuneration plays a vital role in our ability to do so, and the significant pay disparities within the manufacturing sector remain a challenge. We continuously review external practices in our key strategic markets and adjust our remuneration policy to balance risk and reward. Our goal is to provide competitive compensation packages that reflect high performance and align with the company's strategic objectives and ambitious performance targets.

Our remuneration policy emphasizes fairness, transparency and responsibility to promote achievement of strategic objectives and positive outcomes in the short, medium and long term. The success of the Group depends upon the performance and commitment of competent directors and employees. The principles for setting executive remuneration are outlined below in more detail.

DIRECTORS' REMUNERATION REPORT FOR THE YEAR ENDED 30 JUNE 2024 (continued)



Executive Directors

Compensation and incentives for Executive Directors is competitive and is intended to encourage positive engagement with the Company. Target remuneration levels for the executive directors are influenced by the experience and qualifications of the executive director. The remuneration is benchmarked against similar organizations within the industry, taking into account factors such as business scope, complexity, and size (both financially and in terms of employee count). Comparisons are made with companies that compete with the Group for the same pool of skilled talent.

Other Employees

The Group considers the remuneration policy in the context of all Group employees. Base salaries of employees are determined in a similar way to those of executive directors. The Group's approach is to ensure that target total compensation is benchmarked to the relevant market in which the individual is employed. Potential total compensation is set at the 50th quartile for excellent individual and business performance.

In addition:

- All employees are eligible for a bonus based on their performance and contractual terms. This bonus is determined using an approved variable pay payout model;
- Core benefits are offered to all employees in accordance with current regulations and industry standards. These benefits include retirement plans, medical insurance, life insurance, and annual leave.
- The Group emphasizes that a portion of each employee's total compensation should be performance-based. The proportion of this variable pay, delivered through bonuses, increases with the level of seniority.

DIRECTORS' REMUNERATION REPORT FOR THE YEAR ENDED 30 JUNE 2024 (continued)

Approach to recruitment remuneration.

The Board Nominations and Remunerations Committee's overarching principle for recruitment remuneration is to pay no more than is necessary to attract an Executive of the caliber required to shape and deliver Unga's business strategy in recognition that Unga competes for talent in the marketplace. The Committee seeks to align the remuneration package with Unga's remuneration policy as laid out but retains the discretion to offer a remuneration package which is necessary to meet the individual circumstances of the recruited Executive and to enable hiring of an individual with the necessary skills and expertise. However, variable pay will follow the policy.

In the event that an internal candidate is promoted to Executive position, legacy terms and conditions would be honoured, including pension entitlements and any outstanding awards.

Service contracts and policy on payment for loss of office.

Executives have rolling employment contracts. The contracts provide for payment of outstanding pay and bonus, or termination following changes in the Group.

Overview of Remuneration in 2023/2024

	Structure	Link to Strategy	2023/24 Implementation
Salary and benefits	- Annual salary review - Pension (15%), medical insurance	Supports the attraction and retention of talent with the capacity to deliver Unga's strategy.	8% Cost-of-Living Adjustment (COLA) during the year.
Annual incentive	- Target performance bonus opportunity is a maximum of 10% of salary. - There is a reward and recognition which is a maximum of 5% of salary	- Incentivises delivery of Unga's annual financial and strategic targets. - Provides focus on key financial metrics and the individual's contribution to the company's performance.	There was no bonus payout for 2023/24 financial year
Long Term Incentive	There is presently no structured financial Long-term incentive scheme within the Group such as an ESOP. However various non-financial incentives include - executive training and development programs	Ensure alignment between the interests of Executive Directors and shareholders	Leadership development programs were conducted during the year.

DIRECTORS' REMUNERATION REPORT FOR THE YEAR ENDED 30 JUNE 2024 (continued)

Commentary on Significant Changes to Directors Remuneration

The Committee oversaw the implementation of the policy to ensure alignment of incentives and rewards with the set remuneration policies and procedures.

The Board conducts an annual review of the remuneration policy to ensure it aligns with and supports the Company's strategy.

The Board is satisfied that the current policy remains well suited to the Company's needs and effectively supports both short-term and long-term objectives of the Group. Consequently, no significant changes to the Directors' remuneration were deemed necessary.

Statement of Voting on the Directors Remuneration Report at the previous Annual General Meeting.

During the Annual General Meeting held on Thursday, 7th December 2023, the shareholders in attendance approved the Directors' Remuneration policy and Directors' Remuneration Report for the year ended 30th June 2023.

The results on voting were as follows:

	Voted In Favour	% In Favour	Voted Against	% Against	% Abstained	% Abstained	Result
Approval of the Directors' Remuneration Policy for the year ended 30th June 2023.	38,580,498	95.418%	1,850,516	4.577%	2,065	0.005%	PASSED
Approval of the Directors' Remuneration Report for the year ended 30th June 2023.	38,584,314	95.428%	40	0.000%	1,848,725	4.572%	PASSED

At the Annual General Meeting to be held on 5th December 2024, the shareholders will also consider the Directors' Remuneration Report for the year ended 30th June 2024.

The Current Directors' Remuneration Policy and Strategy

Current Policy

The Directors' Remuneration Policy was approved by the shareholders at the Company's Annual General Meeting held on 6th December 2018 and has remained unchanged.

The principles guiding the remuneration of Non-Executive Directors (NEDs) are as follows:-

- The Company should remunerate its Directors fairly and responsibly.
- The remuneration should be sufficient to attract, motivate and retain directors to run the Company effectively.
- The remuneration should be consistent with recognised best practice standards and is competitive in line with remuneration for other directors in competing sectors.
- The remuneration should reflect the Directors' responsibilities, expertise and the complexity of the Company's activities.

The directors have not recommended any change to the remuneration policy for the year ending 30th June 2024.

Payments to past Directors

There was no payment of Directors' fees to past directors during the year.

DIRECTORS' REMUNERATION REPORT FOR THE YEAR ENDED 30 JUNE 2024 (continued)

Approval by shareholders

As per section 681 (4) of the Companies Act, 2015, the Directors Remuneration Report has been presented to the members for approval.

2.0 INFORMATION SUBJECT TO AUDIT

The following table shows a single figure remuneration for the Executive Director, Chairman and Non-Executive Directors in respect of qualifying services for the year ended 30 June 2024 together with the comparative figures for 2023. The aggregate Directors' emoluments are shown in Note 30(iv) of the audited financial statements.

	Salary	Fees	Bonuses	Expense allowances	Loss of office/ Termination	Estimated value of non-cash benefits	Total
	Shs 000	Shs 000	Shs 000	Shs 000	Shs 000	Shs 000	Shs 000
Year ended 30 June 2024:							
Joseph M Choge	43,001	-	-	-	13,255	-	56,256
Isabella Ochola Wilson	-	3,378	-	-	-	-	3,378
Alan McKittrick	-	2,778	-	-	-	-	2,778
Andrew S Ndegwa**	-	2,706	-	-	-	-	2,706
Patrick Obath	-	2,808	-	-	-	-	2,808
Jinaro Kipkemoi Kibet	-	2,202	-	-	-	-	2,202
Vitalis Ondeke Ojode	-	2,160	-	-	-	-	2,160
Shilpa Haria	-	2,388	-	-	-	-	2,388
Maureen W Miring'u	-	2,316	-	-	-	-	2,316
Wangari Murugu	-	2,706	-	-	-	-	2,706
Patrick Mugambi**	-	384	-	-	-	-	384
Florence Nakakawa	-	312	-	-	-	-	312
	43,001	24,138	-	-	13,255	-	80,394
Year ended 30 June 2023:							
Joseph M Choge	46,382	-	-	10,223	0	0	56,605
Isabella Ochola Wilson	-	3,534	-	-	-	-	3,534
Alan McKittrick	-	3,360	-	-	-	-	3,360
Andrew S Ndegwa**	-	2,160	-	-	-	-	2,160
Patrick Obath	-	2,328	-	-	-	-	2,328
Jinaro Kipkemoi Kibet	-	2,280	-	-	-	-	2,280
Vitalis Ondeke Ojode	-	2,256	-	-	-	-	2,256
Shilpa Haria	-	2,250	-	-	-	-	2,250
Maureen W Miring'u	-	2,646	-	-	-	-	2,646
Wangari Murugu	-	2,880	-	-	-	-	2,880
Patrick Mugambi**	-	480	-	-	-	-	480
Florence Nakakawa	-	390	-	-	-	-	390
	46,382	24,564	-	10,223	-	-	81,169

DIRECTORS' REMUNERATION REPORT FOR THE YEAR ENDED 30 JUNE 2024 (continued)

***Payment for qualifying services provided by Andrew Ndegwa (alternate Patrick Mugambi) as stated in the tables above was made to First Chartered Securities Limited.*

The Annual Remuneration Report will be put forward for your consideration and approval by vote at the AGM to be held on 5th December 2024.

We were pleased to receive a strong vote in favour of our remuneration policy and report last year. I greatly appreciate the engagement from our shareholders and look forward to welcoming you and receiving your continued support at this year's AGM.

On behalf of the Board of Directors



Patrick Obath
Chairman, Nomination and Remuneration Committee

26 September 2024

The Companies Act 2015 requires the directors to prepare financial statements for each financial year which give a true and fair view of the financial position of the Company at the end of the financial year and its financial performance for the year then ended. The directors are responsible for ensuring that the Company keeps proper accounting records that are sufficient to show and explain the transactions of the Company; disclose with reasonable accuracy at any time the financial position of the Company; and that enables them to prepare financial statements of the Company that comply with prescribed financial reporting standards and the requirements of the Companies Act 2015. They are also responsible for safeguarding the assets of the Company and for taking reasonable steps for the prevention and detection of fraud and other irregularities.

The directors accept responsibility for the preparation and presentation of these financial statements in accordance with International Financial Reporting Standards and in the manner required by the Companies Act 2015. They also accept responsibility for:

- i. Designing, implementing and maintaining such internal control as they determine necessary to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error.
- ii. Selecting suitable accounting policies and applying them consistently; and
- iii. Making accounting estimates and judgements that are reasonable in the circumstances.

Having assessed the Company's ability to continue as a going concern, the Directors have disclosed in Note 2 (a) of the financial statements matters relating to the use of going concern basis of preparation of the financial statements.

The directors acknowledge that the independent audit of the financial statements does not relieve them of their responsibilities.

Approved by the board of directors on 26 September 2024 and signed on its behalf by:



I Ochola- Wilson (Mrs)
Chairman



A McKittrick
Director



INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF UNGA GROUP PLC

Report on the audit of the financial statements.

Our opinion

We have audited the accompanying financial statements of Unga Group Plc (the Company) and its subsidiaries (together, the Group) set out on pages 21 to 77 which comprise the consolidated statement of financial position at 30 June 2024 and the consolidated statement of profit or loss, consolidated statement of comprehensive income, consolidated statement of changes in equity and consolidated statement of cash flows for the year then ended, together with the Company statement of financial position at 30 June 2024, and the Company statements of profit or loss and other comprehensive income, changes in equity, and cash flows for the year then ended, and the notes to the financial statements, comprising material accounting policies and other explanatory information.

In our opinion, the financial statements give a true and fair view of the financial position of the Group and the Company as at 30 June 2024 and of their financial performance and their cash flows for the year then ended in accordance with IFRS Accounting Standards and the requirements of the Companies Act, 2015.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's responsibilities for the audit of the financial statements section of our report.

We are independent of the company in accordance with the International Code of Ethics for Professional Accountants (including International Independence Standards) issued by the International Ethics Standards Board for Accountants (IESBA Code) together with the ethical requirements that are relevant to our audit of the financial statements in Kenya. We have fulfilled our other ethical responsibilities in accordance with the IESBA Code.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

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Partners: E Kerich B Kimacia M Mugasa A Murage F Muriu P Ngahu R Njoroge S O Norbert's B Okundi K Saiti

**INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF UNGA GROUP PLC
(CONTINUED)**

Key audit matter	How our audit addressed the key audit matter
<i>Potential impairment of property plant and equipment</i> As explained under note 22 of these financial statements, an impairment assessment test was carried out to assess the carrying value of milling plant and equipments included in property, plant and equipment as required by IAS 36. The test for impairment was significant to our audit because the net carrying value for the assets amounting to Shs 730 million is material to the financial statements and also because the value-in-use calculations prepared by management for assessing whether there is impairment involve the use of significant estimates and assumptions. The assumptions with the most significant impact to the value in use calculations were: • Volume growth rate • Gross profit margin • Selling, general and administrative expenses growth	We evaluated management's value-in-use calculations based on the historical performance of the business, approved budgets, and the macro- economic and business outlook. We tested the value-in-use calculations for accuracy and consistency and tested the key assumptions for reasonableness including sensitivity analysis. We assessed the adequacy of the disclosures in the financial statements.

Other information

The other information comprises the Corporate Information, Chairman's Statement, Group Managing Director's Statement, Directors' report, Directors' remuneration report, and the Statement of Directors' Responsibilities which we obtained prior to the date of this auditor's report, and the rest of the other information in the Annual Report which are expected to be made available to us after that date, but does not include the financial statements and our auditor's report thereon. The directors are responsible for the other information. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in this report, we do not and will not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information identified above and, in doing so, consider whether the other information is materially inconsistent with the financial statements, or our knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work we have performed on the other information we have received prior to the date of this auditor's report we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

When we read the rest of the other information in the Annual Report and we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance.

INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF UNGA GROUP PLC (CONTINUED)

Responsibilities of the directors for the financial statements

The directors are responsible for the preparation of financial statements that give a true and fair view in accordance with IFRS Accounting Standards and the requirements of the Companies Act, 2015, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Group or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.
- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the financial statements. We are responsible for the direction, supervision and performance of the Group audit. We remain solely responsible for our audit opinion.



INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF UNGA GROUP PLC (CONTINUED)

Auditor's responsibilities for the audit of the financial statements (continued)

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the directors with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable.

From the matters communicated with the directors, we determine those matters that were of most significance in the audit of the Group's financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other matters prescribed by the Companies Act, 2015

Report of the directors

In our opinion the information given in the directors' report on pages 8 to 9 is consistent with the financial statements.

Directors' remuneration report

In our opinion the auditable part of the directors' remuneration report on page 14 has been properly prepared in accordance with the Companies Act, 2015.

A handwritten signature in blue ink that reads 'Bernice Kimacia'.

**CPA Bernice Kimacia – Practising Certificate No. 1457
Engagement partner responsible for the audit**

**For and on behalf of PricewaterhouseCoopers LLP
Certified Public Accountants
Nairobi**

26 September 2024

Consolidated statement of profit or loss

For the year ended 30 June 2024

	Notes	2024 Shs'000	2023 Shs'000
Revenue	5	23,703,863	24,051,024
Cost of sales		(22,062,110)	(22,889,768)
Gross profit		1,641,753	1,161,256
Other income	8	42,452	144,891
Selling and distribution costs		(985,378)	(851,810)
Administrative expenses		(1,004,089)	(654,857)
Net impairment losses on financial assets	20	29,661	(240,062)
Operating loss		(275,601)	(440,582)
Share of profit in associate	31	16,781	(6,285)
Finance income	10	13,281	31,377
Finance costs	10	(559,412)	(784,368)
Loss before income tax		(804,951)	(1,199,858)
Income tax credit	13	135,375	240,477
Loss for the year		(669,576)	(959,381)
Attributable to;			
Equity attributable to equity holders		(449,552)	(636,517)
Non-controlling Interests		(220,024)	(322,864)
		(669,576)	(959,381)

Loss per share attributable to owners of the Company (expressed in Kenya shillings).

		2024	2023
Basic and diluted loss per share	6	(5.94)	(8.41)

Consolidated statement of comprehensive income

For the year ended 30 June 2024

	Notes	2024 Shs'000	2023 Shs'000
Loss for the year		(669,576)	(959,381)
<i>Items that will not be subsequently reclassified to profit or loss</i>			
Retirement benefit scheme asset re-measurement	26	-	(47,744)
Deferred income tax on re-measurement		-	14,324
<i>Items that may be subsequently reclassified to profit or loss</i>			
Exchange differences on translation of foreign operations		(4,767)	66,376
Other comprehensive income for the year		(4,767)	32,956
Total comprehensive income for the year		(674,343)	(926,425)
Attributable to:			
Equity attributable to equity holders		(452,651)	(615,114)
Non-controlling Interests		(221,692)	(311,311)
		(674,343)	(926,425)

Company statement of profit or loss and other comprehensive income

For the year ended 30 June 2024

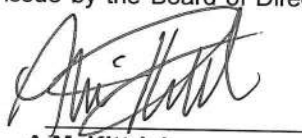
	Notes	2024 Shs'000	2023 Shs'000
Interest income	10	30	30
Administrative and other expenses		(43,304)	(42,221)
Operating loss		(43,274)	(42,191)
Loss before income tax		(43,274)	(42,191)
Income tax expense		-	-
Loss for the year		(43,274)	(42,191)
Other comprehensive income		-	-
Total Comprehensive loss		(43,274)	(42,191)

Consolidated statement of financial position

	Notes	2024 Shs'000	2023 Shs'000
Assets			
Non-current assets			
Property, plant and equipment	22	3,036,364	3,009,239
Investments in associates	31	1,499,020	1,492,735
Right-of-use assets	23	194,401	160,025
Intangible assets	24	14,003	16,754
Deferred income tax	18	352,680	182,126
Retirement Benefits Asset	26	-	21,681
		5,096,468	4,882,560
Current assets			
Inventories	19	3,401,295	2,840,594
Trade and other receivables	20	2,432,503	3,202,501
Current income tax		111,064	86,662
Cash and bank balances	28	250,950	493,684
		6,195,812	6,623,441
Total assets		11,292,280	11,506,001
Equity and liabilities			
Equity attributable to owners			
Share capital	14	378,535	378,535
Share premium	14	73,148	73,148
Other reserves	15	(3,862)	(11,415)
Retained earnings		2,900,138	3,360,342
Equity attributable to equity holders		3,347,959	3,800,610
Non-controlling Interests	16	1,753,087	1,974,779
Total equity		5,101,046	5,775,389
Liabilities			
Non-current liabilities			
Deferred income tax	18	97,758	53,478
Borrowings	17	234,841	-
Lease liabilities	23	39,146	1,363
		371,745	54,841
Current liabilities			
Trade and other payables	21	3,686,893	4,565,669
Current income tax		11,012	6,869
Lease liabilities	23	24,418	28,603
Borrowings	17	2,097,166	1,074,630
		5,819,489	5,675,771
Total liabilities		6,191,234	5,730,612
Total equity and liabilities		11,292,280	11,506,001

The financial statements on pages 21 to 77 were approved for issue by the Board of Directors on 26 September 2024 and signed on its behalf by:


W. Ochola- Wilson (Mrs)
Chairman


A McKittrick
Director

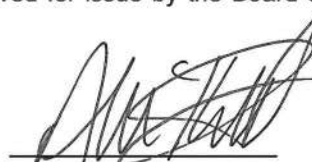
Company statement of financial position

	Notes	2024 Shs'000	2023 Shs'000
ASSETS			
Non-current assets			
Investment in subsidiaries	25	1,297,335	1,297,335
		<u>1,297,335</u>	<u>1,297,335</u>
Current assets			
Trade and other receivables	20	61,428	61,248
Cash and bank balances	28	3,014	3,008
		<u>64,442</u>	<u>64,256</u>
Total assets		<u>1,361,777</u>	<u>1,361,591</u>
Equity and liabilities			
Equity attributable to owners			
Share capital	14	378,535	378,535
Share premium	14	73,148	73,148
Retained earnings		543,928	587,202
		<u>995,611</u>	<u>1,038,885</u>
Total equity		<u>995,611</u>	<u>1,038,885</u>
Current liabilities			
Trade and other payables	21	366,166	322,706
		<u>366,166</u>	<u>322,706</u>
Total equity and liabilities		<u>1,361,777</u>	<u>1,361,591</u>

The financial statements on pages 21 to 77 were approved for issue by the Board of Directors on 26 September 2024 and signed on its behalf by:



I Ochola- Wilson (Mrs)
Chairman



A McKittrick
Director

Unga Group Plc
Annual Report and Financial Statements
For the year ended 30 June 2024

Consolidated statement of changes in equity

	Share capital Shs '000	Share premium Shs '000	Other reserves Shs '000	Retained earnings Shs '000	Equity attributable to equity holders Shs '000	Non- controlling Interests Shs '000	Total Shs '000
Year ended 30 June 2024							
At start of year	378,535	73,148	(11,415)	3,360,342	3,800,610	1,974,779	5,775,389
Loss for the year	-	-	-	(449,552)	(449,552)	(220,024)	(669,576)
Other comprehensive income for the year	-	-	(3,099)	-	(3,099)	(1,668)	(4,767)
Transfer of retirement benefits reserves to retained earnings	-	-	10,652	(10,652)	-	-	-
Total comprehensive loss for the year	-	-	7,553	(460,204)	(452,651)	(221,692)	(674,343)
At end of year	378,535	73,148	(3,862)	2,900,138	3,347,959	1,753,087	5,101,046
Year ended 30 June 2023							
At start of year	378,535	73,148	(32,818)	3,996,859	4,415,724	2,286,090	6,701,814
Loss for the year	-	-	-	(636,517)	(636,517)	(322,864)	(959,381)
Other comprehensive income for the year	-	-	21,403	-	21,403	11,553	32,956
Total comprehensive loss for the year	-	-	21,403	(636,517)	(615,114)	(311,311)	(926,425)
At end of year	378,535	73,148	(11,415)	3,360,342	3,800,610	1,974,779	5,775,389

Company statement of changes in equity

	Share capital	Share premium	Retained earnings	Total
	Shs'000	Shs'000	Shs'000	Shs'000
Year ended 30 June 2024				
At start of year	378,535	73,148	587,202	1,038,885
Total comprehensive loss for the year	-	-	(43,274)	(43,274)
At end of year	<u>378,535</u>	<u>73,148</u>	<u>543,928</u>	<u>995,611</u>
Year ended 30 June 2023				
At start of year	378,535	73,148	629,393	1,081,076
Total comprehensive loss for the year	-	-	(42,191)	(42,191)
At end of year	<u>378,535</u>	<u>73,148</u>	<u>587,202</u>	<u>1,038,885</u>

Consolidated statement of cash flows

	Notes	2024 Shs'000	2023 Shs'000
Operating activities			
Cash absorbed from operations	27	(724,953)	(9,867)
Income tax paid		(17,792)	(22,823)
Interest paid		(492,341)	(344,598)
Net cash outflows from operating activities		<u>(1,235,086)</u>	<u>(377,288)</u>
Investing activities			
Purchase of property, plant and equipment	22	(245,972)	(352,643)
Purchase of intangible assets	24	-	(6,801)
Proceeds of disposal of property, plant and equipment		1,058	13,076
Net cash outflows from investing activities		<u>(244,914)</u>	<u>(346,368)</u>
Financing activities			
Proceeds from borrowings	17	6,922,629	1,809,274
Repayments of borrowings	17	(5,665,252)	(1,227,728)
Payments of lease liabilities	23	(24,878)	(30,311)
Net cash flows from financing activities		<u>1,232,499</u>	<u>551,235</u>
Net decrease in cash and cash equivalents		<u>(247,501)</u>	<u>(172,421)</u>
Movement in cash and cash equivalents			
At start of year		493,684	734,719
Decrease		(247,501)	(172,421)
Effects of exchange rate changes		4,767	(68,614)
At end of year	28	<u>250,950</u>	<u>493,684</u>

Company statement of cash flows

	Notes	2024 Shs'000	2023 Shs'000
Operating activities			
Cash generated from operations	27	6	7
Income tax paid		-	-
Net cash flows from operating activities		<u>6</u>	<u>7</u>
Financing activities			
Dividends paid to shareholders		-	-
Net cash flows used in financing activities		<u>-</u>	<u>-</u>
Net increase in cash and cash equivalents		<u>6</u>	<u>7</u>
Movement in cash and cash equivalents			
At start of year		3,008	3,001
Increase		6	7
At end of year	28	<u>3,014</u>	<u>3,008</u>

Notes (continued)

1 General information

Unga Group Plc is incorporated in Kenya under the Companies Act as a limited liability company and is domiciled in Kenya. The address of its registered office is:

Plot No.209/6841
Ngano House, Commercial Street
Industrial Area
P O Box 30096, 00100
Nairobi

2 Material accounting policies

The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all years presented, unless otherwise stated.

(a) Basis of preparation

The consolidated financial statements of Unga Group Plc have been prepared in accordance with IFRS Accounting Standards and IFRS Interpretations Committee (IFRS IC) interpretations applicable to companies reporting under IFRS Accounting Standards. The consolidated financial statements have been prepared under the historical cost convention.

The preparation of financial statements in conformity with IFRS Accounting Standards requires the use of certain critical accounting estimates. It also requires management to exercise its judgment in the process of applying the Group's accounting policies. The areas involving a higher degree of judgment or complexity, or areas where assumptions and estimates are significant to the consolidated financial statements are disclosed in note 3.

Going concern

The Group has reported an operating loss of Shs 276 million (2023: loss of Shs 441 million) and a loss for the year Shs 670 million (2023: loss of Shs 959 million). The Group has negative cashflows from operating activities of Shs 1.2 billion from operations (2023: absorbed Shs 377 million). These are indicators that the Group may not be able to continue as a going concern and meet its obligations as and when they become due in the foreseeable future. In mitigation, management have considered the following:

- The Group has a composite facility from NCBA bank to its subsidiary Unga Farm Care (EA) Limited comprising of overdraft facility, invoice discounting, bank guarantees, stock loan, letters of credit, post import finance and invoice discounting amounting to USD 6,400,000 (Shs 832,240,000) and Kes 450,000,000 to be availed in both USD and Kes. The Group also has a composite facility from NCBA bank to its subsidiary Unga Limited comprising of overdraft facility, invoice discounting, bank guarantees, stock loan, letters of credit, post import finance and invoice discounting amounting to USD 4,067,300 (Shs 530,172,555) to be availed in both USD and KES. Unused facilities at year end available to Unga Farm Care (EA) Limited together with its fellow subsidiary Unga Limited amounted to Shs 224,405,000.
- Current assets exceed current liabilities by Shs 376 million (2023: Shs 948 million) which will support the business in settling its obligations as and when due.
- The Group has positive accumulated profits amounting to Shs 2,900 million (2023: Shs 3,360 million).

Management's budgets/ projections indicate that the Company will get back to profitability in the coming financial year. Profitability will be achieved through the following strategic measures;

- Volumes growth in line with a revamped route to consumer, bridging the price gap with competitors, and an improved customer experience through a newly established customer service center being launched in the financial year 2024-2025 that will be dedicated to tracking customer concerns and innovatively addressing them.

Notes (continued)

2 Material accounting policies (continued)

(a) Basis of preparation (continued)

Going concern (continued)

- Strategic sourcing of raw materials to significantly increase the gross margins
- Better and efficient management of sales, general and administrative expenses to ensure sufficient net profitability margins are achieved

Based on the above, the directors are confident that the Group will be able to meet its obligations as and when they become due and continue as a going concern at least for 12 months from the date of these financial statements. The financial statements have therefore been prepared on a going concern basis

Changes in accounting policy and disclosures

i) New standards, amendments and interpretations adopted by the Group and Company

Several amendments to standards became effective for the first time in the financial year beginning 1 July 2023 and have been adopted by the Company and Group. The amendments did not have a significant impact on the financial statements of the Company and Group. They include:

Title	Effective Date	Executive Summary
Amendments to IAS 12, Income Taxes: Deferred Tax related to Assets and Liabilities arising from a Single Transaction	1 January 2023	• The amendments require companies to recognise deferred tax on transactions that, on initial recognition, give rise to equal amounts of taxable and deductible temporary differences.
Narrow scope amendments to IAS 1 'Presentation of Financial Statements', Practice statement 2 and IAS 8 'Accounting Policies, Changes in Accounting Estimates and Errors'	1 January 2023	The amendments aim to improve accounting policy disclosures and to help users of the financial statements to distinguish changes in accounting policies from changes in accounting estimates.

Notes (continued)

2 Material accounting policies (continued)

Changes in accounting policy and disclosures (Continued)

ii) New and revised standards that have been issued but are not yet effective

The Company and Group have not early adopted any of the new or revised Standards and Interpretations that have been published but are not yet effective for the year beginning 1 July 2023, and the Directors do not plan to apply any of them until they become effective. They include:

Title	Effective Date	Executive Summary
Amendments to IAS 1, 'Presentation of financial statements', on Classification of Liabilities as Current or Non-current	1 January 2024	The amendment clarifies that liabilities are classified as either current or non-current, depending on the rights that exist at the end of the reporting period. Classification is unaffected by the expectations of the entity or events after the reporting date (for example, the receipt of a waiver or a breach of covenant). The amendment also clarifies what IAS 1 means when it refers to the 'settlement' of a liability.
Amendment to IFRS 16 – Leases on sale and leaseback	1 January 2024	These amendments include requirements for sale and leaseback transactions in IFRS 16 to explain how an entity accounts for a sale and leaseback after the date of the transaction. Sale and leaseback transactions where some or all the lease payments are variable lease payments that do not depend on an index or rate are most likely to be impacted.
Amendments to Supplier Finance Arrangements (IAS 7 and IFRS 7)	1 January 2024	These amendments require disclosures to enhance the transparency of supplier finance arrangements and their effects on a company's liabilities, cash flows and exposure to liquidity risk. The disclosure requirements are the IASB's response to investors' concerns that some companies' supplier finance arrangements are not sufficiently visible, hindering investors' analysis.
Amendments to IAS 21 Lack of Exchangeability (Amendments to IAS 21)	1 January 2025	An entity is impacted by the amendments when it has a transaction or an operation in a foreign currency that is not exchangeable into another currency at a measurement date for a specified purpose. A currency is exchangeable when there is an ability to obtain the other currency (with a normal administrative delay), and the transaction would take place through a market or exchange mechanism that creates enforceable rights and obligations.

The Directors do not expect the adoption of the above amendments once effective, to have a material impact on the financial statements of the company.

Notes (continued)

2 Material accounting policies (continued)

(b) Consolidation

(i) Subsidiaries

Subsidiaries are all entities (including structured entities) over which the Group has control. The Group controls an entity when the Group is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. Subsidiaries are fully consolidated from the date on which control is transferred to the Group. They are deconsolidated from the date that control ceases.

The Group applies the acquisition method to account for business combinations. The consideration transferred for the acquisition of a subsidiary is the fair values of the assets transferred, the liabilities incurred to the former owners of the acquiree, and the equity interests issued by the Group. The consideration transferred includes the fair value of any asset or liability resulting from a contingent consideration arrangement. Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date. The Group recognises any non-controlling interest in the acquiree on an acquisition-by-acquisition basis, either at fair value or at the non-controlling interest's proportionate share of the recognised amounts of acquiree's identifiable net assets.

Investments in subsidiaries are accounted for at cost less impairment. Cost is adjusted to reflect changes in consideration arising from contingent consideration amendments. Cost also includes direct attributable costs of investment.

The excess of the consideration transferred over the amount in the acquiree and the acquisition-date fair value over any previous equity interest in the acquiree over the fair value of the Group's share of the identifiable net assets acquired is recorded as goodwill. If this is less than the fair value of the net assets of the subsidiary acquired in the case of a bargain purchase, the difference is recognised directly in profit or loss.

Inter-Company transactions, balances and unrealised gains on transactions between Group companies are eliminated. Unrealised losses are also eliminated unless the transaction provides evidence of an impairment of the asset transferred. Accounting policies of subsidiaries have been changed where necessary to ensure consistency with the policies adopted by the Group.

(ii) Transactions and non-controlling interests

The Group treats transactions with non-controlling interests as transactions with equity owners of the Group. For purchases from non-controlling interests, the difference between any consideration paid and the relevant share acquired of the carrying value of net assets of the subsidiary is recorded in equity. Gains or losses on disposals to non-controlling interests are also recorded in equity.

When the Group ceases to have control or significant influence, any retained interest in the entity is remeasured to its fair value, with the change in carrying amount recognised in profit or loss. The fair value is the initial carrying amount for the purposes of subsequently accounting for the retained interest as an associate, joint venture or financial asset. In addition, any amounts previously recognised in other comprehensive income in respect of that entity are accounted for as if the Group had directly disposed of the related assets or liabilities. This may mean that amounts previously recognised in other comprehensive income are reclassified to profit or loss.

(c) Segment reporting

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision maker. The chief operating decision maker, who is responsible for allocating resources and assessing performance of the operating segments, has been identified as the steering committee that makes strategic decisions.

Notes (continued)

2 Material accounting policies (continued)

(d) Functional currency and translation of foreign currencies

(i) Functional and presentation currency

Items included in the financial statements of each of the Group's entities are measured using the currency of the primary economic environment in which the entity operates ('the functional currency'). The consolidated financial statements are presented in Kenya Shillings, which is the Company's functional currency.

(ii) Transactions and balances

Foreign currency transactions are translated into the functional currency of the respective entity using the exchange rates prevailing at the dates of the transactions. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation at year-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in the income statement.

Translation differences on non-monetary items, such as equities held at fair value through profit or loss are reported as part of the fair value profit or loss in profit or loss. Translation differences on non-monetary items, such as equities classified as available-for-sale financial assets are included in the fair value reserve in equity.

(iii) Group companies

The results and financial position of all the Group entities (none of which has the currency of a hyperinflationary economy) that have a functional currency different from the presentation currency are translated into the presentation currency as follows:

- Assets and liabilities for each statement of financial position presented are translated at the closing rate at the date of that statement of financial position;
- Income and expenses for each income statement are translated at average exchange rates (unless this average is not a reasonable approximation of the cumulative effect of the rates prevailing on the transaction dates, in which case income and expenses are translated at the dates of the transactions); and
- All resulting exchange differences are recognized as a separate component of equity.

On consolidation, exchange differences arising from the translation of the net investment in foreign entities are taken to statement of other comprehensive income. When a foreign operation is sold, such exchange differences are recognized in the income statement as part of the gain or loss on sale.

(e) Revenue recognition

The Group recognises revenue from direct sales of goods. Revenue is recognised at a point in time as and when it satisfies a performance obligation by transferring control of a product to a customer. The amount of revenue recognised is the amount the Company expects to receive in accordance with the terms of the contract, and excludes value-added tax (VAT), returns, rebates and discounts.

The Group manufactures human nutrition products, animal nutrition products and distributes animal health products. Sales of goods are recognised at a point in time depending on the nature of goods and services, when the Company delivers products to the customer and there are no unfulfilled obligations that could affect the customers' acceptance of the goods. There is no variable element to the contract price, and payment, less any deposit already paid, is typically due within 30 days of delivery.

Interest income is recognised using the effective interest method. Dividends are recognised as income in the period the right to receive payment is established.

Notes (continued)

2 Material accounting policies (continued)

(f) Property and equipment

(i) Functional and presentation currency

All categories of property, plant and equipment are initially recorded at cost and subsequently depreciated. Historical cost includes expenditure that is directly attributable to the acquisition of the items.

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can be measured reliably. All other repairs and maintenance are charged to the statement of comprehensive income during the financial period in which they are incurred.

Freehold land is not depreciated. Depreciation is calculated using the straight line method to write down the cost of each asset to its residual value over its estimated useful life as follows:

Buildings on long leasehold land	2.5%
Buildings on short leasehold land	over period of lease
Computer equipment	33.3%
Plant and machinery	5 - 7.5%
Furniture and fittings	12.5%
Motor vehicles	25%
Silos	Shorter of 50 years or the unexpired period of the lease for the land on which they are built

The assets' residual values and useful lives are reviewed, and adjusted if appropriate, at the end of each reporting period. An asset's carrying amount is written down immediately to its recoverable amount if the asset's carrying amount is greater than its estimated recoverable amount.

Property and equipment are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell and value in use. For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash flows (cash-generating units). Non-financial assets that suffered impairment are reviewed for possible reversal of the impairment at each reporting date.

Gains and losses on disposals are determined by comparing the proceeds with the carrying amount and are included in profit or loss.

Notes (continued)

2 Material accounting policies (continued)

(g) Intangible assets

Computer software

Costs associated with maintaining computer software programmes are recognized as an expense as incurred. Development costs that are directly attributable to the design and testing of identifiable and unique software products controlled by the Group are recognized as intangible assets when the following criteria are met:

- It is technically feasible to complete the software product so that it will be available for use;
- Management intends to complete the software product and use or sell it;
- There is an ability to use or sell the software product;
- It can be demonstrated how the software product will generate probable future economic benefits;
- Adequate technical, financial and other resources to complete the development and to use or sell the software product are available; and
- The expenditure attributable to the software product during its development can be reliably measured.

Directly attributable costs that are capitalized as part of the software product include the software development employee costs and an appropriate portion of relevant overheads. Other development expenditures that do not meet these criteria are recognized as an expense as incurred. Developments costs previously recognized as an expense are not recognized as an asset in a subsequent period.

Computer software development costs recognized as assets are amortized over their estimated useful lives, which does not exceed three years.

(h) Impairment of non-financial assets

Assets that have an indefinite useful life are not subject to depreciation or amortisation but are tested annually for impairment. Assets that are subject to depreciation or amortisation are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell and value in use. For the purposes of assessing impairment, assets are Grouped at the lowest levels for which there are separately identifiable cash flows (cash-generating units). Non-financial assets other than goodwill that suffered impairment are reviewed for possible reversal of the impairment at each reporting date

(i) Inventories

Inventories are stated at the lower of cost and net realisable value. Cost comprises expenditure directly incurred in purchasing or manufacturing the inventories plus an allocation of normal overhead expenditure attributable to the processes of production hence the cost is determined using standard costs that approximate actual weighted average cost. The cost of engineering spares is determined using the weighted average cost method. Net realisable value represents the estimated selling price less all estimated costs to completion and costs to be incurred in selling and distribution. Specific provisions are made for obsolete, slow moving and defective inventories.

Notes (continued)

2 Material accounting policies (continued)

(j) Share capital

Ordinary shares are classified as 'share capital' in equity. Any premium received over and above the par value of the shares is classified as 'share premium' in equity.

(k) Cash and cash equivalents

Cash and cash equivalents include cash in hand, deposits held at call with banks, other short term highly liquid investments with original maturities of three months or less, and bank overdrafts. Bank overdrafts are shown within borrowings in current liabilities on the statement of financial position.

(l) Financial instruments

(i) Classification

The Group classifies its financial instruments into the following categories:

- a) Financial assets that are held within a business model whose objective is to hold assets in order to collect contractual cash flows, and for which the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding, are classified and measured at amortised cost;
- b) Financial assets that are held within a business model whose objective is achieved by both collecting contractual cash flows and selling financial assets, and for which the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding, are classified and measured at fair value through other comprehensive income;
- c) All other financial assets are classified and measured at fair value through other comprehensive income;

Notwithstanding the above, the Group may:

- On initial recognition of an equity investment that is not held for trading, irrevocably elect to classify and measure it at fair value through other comprehensive income; and
 - On initial recognition of a debt instrument, irrevocably designate it as classified and measured at fair value through profit or loss if doing so eliminates or significantly reduces a measurement or recognition inconsistency.
- d) Financial liabilities that are held for trading (including derivatives), financial guarantee contracts, or commitments to provide a loan at a below-market interest rate are classified and measured at fair value through profit or loss. The Group may also, on initial recognition, irrevocably designate a financial liability as at fair value through profit or loss if doing so eliminates or significantly reduces a measurement or recognition inconsistency.
 - e) All other financial liabilities are classified and measured at amortised cost.

Financial instruments held during the year were classified as shown under note 2 *IFRS 9-Financial instruments*- classification and measurement above.

Notes (continued)

2 Material accounting policies (continued)

(m) Financial instruments (continued)

(ii) Initial measurement

On initial recognition:

- a) Financial assets or financial liabilities classified as at fair value through profit or loss are measured at fair value.
- b) Trade receivables are measured at their transaction price.
- c) All other categories of financial assets and financial liabilities are measured at the fair value plus or minus transaction costs that are directly attributable to the acquisition or issue of the instrument.

(iii) Subsequent measurement

Financial assets and financial liabilities after initial recognition are measured either at amortised cost, at fair value through other comprehensive income, or at fair value through profit or loss according to their classification.

Interest income, dividend income, and exchange gains and losses on monetary items are recognised in profit or loss.

Amortised cost is the amount at which the financial asset or liability is measured on initial recognition minus principal repayments, plus or minus the cumulative amortisation using the effective interest method of any difference between the initial amount and the maturity amount and, for financial assets, adjusted for any loss allowance.

(iv) Impairment

The Group recognises a loss allowance for expected credit losses on debt instruments that are measured at amortised cost or at fair value through other comprehensive income. The loss allowance is measured at an amount equal to the lifetime expected credit losses for trade receivables and for financial instruments for which: (a) the credit risk has increased significantly since initial recognition; or (b) there is observable evidence of impairment (a credit-impaired financial asset). If, at the reporting date, the credit risk on a financial asset other than a trade receivable has not increased significantly since initial recognition, the loss allowance is measured for that financial instrument at an amount equal to 12-month expected credit losses. All changes in the loss allowance are recognised in profit or loss as impairment gains or losses.

Lifetime expected credit losses represent the expected credit losses that result from all possible default events over the expected life of a financial instrument. 12-month expected credit losses represent the portion of lifetime expected credit losses that result from default events on a financial asset that are possible within 12 months after the reporting date.

Expected credit losses are measured in a way that reflects an unbiased and probability-weighted amount determined by evaluating a range of possible outcomes, the time value of money, and reasonable and supportable information that is available without undue cost or effort at the reporting date about past events, current conditions and forecasts of future economic conditions.

Notes (continued)

2 Material accounting policies (continued)

(m) Financial instruments (continued)

(v) Presentation

All financial assets are classified as non-current except those that are held for trading, those with maturities of less than 12 months from the balance sheet date, those which management has the express intention of holding for less than 12 months from the balance sheet date or those that are required to be sold to raise operating capital, in which case they are classified as current assets.

All financial liabilities are classified as non-current except those held for trading, those expected to be settled in the Group's normal operating cycle, those payable or expected to be paid within 12 months of the balance sheet date and those which the Group does not have an unconditional right to defer settlement for at least 12 months after the statement of financial position date.

(vi) Derecognition/write off

Financial assets are de-recognised when the rights to receive cash flows from the financial asset have expired, when the Group has transferred substantially all risks and rewards of ownership, or when the Group has no reasonable expectations of recovering the asset.

Financial liabilities are de-recognised only when the obligation specified in the contract is discharged or cancelled or expires.

When a financial asset measured at fair value through other comprehensive income, other than an equity instrument, is derecognised, the cumulative gain or loss previously recognised in other comprehensive income is reclassified from equity to profit or loss as a reclassification adjustment. For equity investments for which an irrevocable election has been made to present changes in fair value in other comprehensive income, such changes are not subsequently transferred to profit or loss.

(viii) Offsetting

Financial assets and liabilities are offset and the net amount reported in the balance sheet only when there is a legally enforceable right to set off the recognised amounts and there is an intention to settle on a net basis, or realise the asset and settle the liability simultaneously.

(n) Leases

The Group's leasing activities and how they are accounted for

The Group leases various warehouses, office spaces and vehicles. Rental contracts are typically made for fixed periods of 6 months to 4 years, but may have extension options. There are no non-lease components in the lease contracts and consideration is based on their relative stand-alone prices.

Lease terms are negotiated on an individual basis and contain a wide range of different terms and conditions. The lease agreements do not impose any covenants and there are no security interests in the leased assets that are held by the lessor.

Leases are recognised as a right-of-use asset and a corresponding liability at the date at which the leased asset is available for use by the Group. Assets and liabilities arising from a lease are initially measured on a present value basis. Lease liabilities include the net present value of the following lease payments:

- Fixed payments (including in-substance fixed payments), less any lease incentives receivable;
- Amounts expected to be payable by the group under residual value guarantees;
- The exercise price of a purchase option if the group is reasonably certain to exercise that option and
- Payments of penalties for terminating the lease, if the lease term reflects the Group exercising that option.

Notes (continued)

2 Material accounting policies (continued)

(n) Leases (continued)

The Group's leasing activities and how they are accounted for (continued)

Lease payments to be made under reasonably certain extension options are also included in the measurement of the liability.

The lease payments are discounted using the interest rate implicit in the lease. If that rate cannot be readily determined, which is generally the case for leases in the Group, the lessee's incremental borrowing rate is used, being the rate that the individual lessee would have to pay to borrow the funds necessary to obtain an asset of similar value to the right-of-use asset in a similar economic environment with similar terms, security and conditions.

To determine the incremental borrowing rate, the Group has used recent third-party financing received by the individual lessee as a starting point, adjusted to reflect changes in financing conditions since third party financing was received.

Lease payments are allocated between principal and finance cost. The finance cost is charged to profit or loss over the lease period so as to produce a constant periodic rate of interest on the remaining balance of the liability for each period.

Right-of-use assets are measured at cost comprising the following:

- the amount of the initial measurement of lease liability;
- any lease payments made at or before the commencement date less any lease incentives received;
- any initial direct costs; and
- restoration costs.

Right-of-use assets are generally depreciated over the lease term on a straight-line basis. Payments associated with short-term leases of low-value assets are recognised on a straight-line basis as an expense in profit or loss. Short-term leases are leases with a lease term of 12 months or less

Extension and termination terms

Extension and termination options are included in the leases across the Group. These are used to maximise operational flexibility in terms of managing the assets used in the Group's operations. The majority of extension and termination options held are exercisable only by the Group and not by the respective lessor.

Notes (continued)

2 Material accounting policies (continued)

(o) Employee benefits

(i) Retirement benefit obligations

The Group operates defined benefit retirement benefit schemes for its employees. Typically, defined benefit plans define an amount of pension benefit that an employee will receive on retirement, usually dependent on one or more factors such as age, years of service and compensation.

With effect from 1 January 2022, the Group commenced operating a defined contribution retirement benefit scheme for its employees as the defined benefit scheme was closed to new members and to further contributions. For defined contribution plans, the company pays contributions to a multi-employer (umbrella) administered pension insurance plan on a mandatory, contractual or voluntary basis. The Group has no further payment obligations once the contributions have been paid. The contributions are recognized as employee benefit expense when they are due. Prepaid contributions are recognized as an asset to the extent that a cash refund or a reduction in the future payments is available.

The liability/ asset recognised in the balance sheet in respect of defined benefit pension plans is the present value of the defined benefit obligation at the end of the reporting period less the fair value of plan assets. The defined benefit obligation is calculated annually by independent actuaries using the projected unit credit method. The present value of the defined benefit obligation is determined by discounting the estimated future cash outflows using interest rates of high-quality corporate bonds that are denominated in the currency in which the benefits will be paid, and that have terms to maturity approximating to the terms of the related pension obligation. In countries where there is no deep market in such bonds, the market rates on government bonds are used.

Actuarial gains and losses arising from experience adjustments and changes in actuarial assumptions are charged or credited to equity in other comprehensive income in the period in which they arise. Past-service costs are recognised immediately in income. The assets of all schemes are held in separate trustee administered funds, which are funded by contributions from both the Group and employees.

The Group employees also contribute to the appropriate National Social Security Funds, which is a defined contribution scheme.

(ii) Other post-employment obligations

The Group operates an unfunded service gratuity benefit scheme for unionisable employees based on basic salary and years of service. A provision is made for the estimated liability for such entitlements as a result of services rendered by employees up to the reporting date.

The estimated monetary liability for employees' accrued annual leave entitlement at the reporting date is recognised as an expense accrual.

Employee entitlements to gratuity and long service awards are recognized when they accrue to employees. A provision is made for the estimated liability for such entitlements as a result of services rendered by employees up to the reporting date.

The estimated monetary liability for employees' accrued annual leave entitlement at the reporting date is recognized as an expense accrual.

Notes (continued)

2 Material accounting policies (continued)

(p) Dividend distribution

Dividends payable to the Company's shareholders are recognised as a liability in the Group's financial statements in the period in which the dividends are approved by the Company's shareholders. Proposed dividends are shown as a separate component of equity until declared.

(q) Provisions

Provisions are recognised when: the Group has a present legal or constructive obligation as a result of past events; it is probable that an outflow of resources will be required to settle the obligation; and the amount has been reliably estimated. Provisions are not recognised for future operating losses.

Provisions are measured at the present value of the expenditures expected to be required to settle the obligation using a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the obligation. The increase in the provision due to passage of time is recognised as interest expense.

(r) Current and deferred income tax

The tax expense for the period comprises current and deferred income tax. Tax is recognized in the income statement except to the extent that it relates to items recognized in other comprehensive income or directly in equity. In this case, the tax is also recognized in other comprehensive income or directly in equity respectively.

The current income tax charge is calculated on the basis of the tax enacted or substantively enacted at the reporting date in the countries where the company and its subsidiaries operate and generate taxable income. The directors periodically evaluate positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation. They establish provisions where appropriate on the basis of amounts expected to be paid to the tax authorities.

Deferred income tax is recognised, using the liability method, on temporary differences arising between the tax bases of assets and liabilities and their carrying values in the financial statements. However, deferred income tax is not accounted for if it arises from initial recognition of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting nor taxable profit or loss. Deferred income tax is determined using tax rates and laws that have been enacted or substantively enacted at the reporting date and are expected to apply when the related deferred income tax liability is settled or asset realised.

Deferred income tax assets are recognised only to the extent that it is probable that future taxable profits will be available against which the temporary differences can be utilised.

Deferred income tax is provided on temporary differences arising on investments in subsidiaries and associates, except where the timing of the reversal of the temporary difference is controlled by the Group and it is probable that the temporary difference will not reverse in the foreseeable future.

Deferred income tax assets and liabilities are offset when there is a legally enforceable right to offset current tax assets against current tax liabilities and when the deferred income tax assets and liabilities relate to income taxes levied by the same taxation authority on either the same taxable entity or different taxable entities where there is an intention to settle the balances on a net basis.

Notes (continued)

2 Material accounting policies (continued)

(s) Borrowings

Borrowings are recognised initially at fair value, net of transaction costs incurred.

Borrowings are subsequently stated at amortised cost using the effective interest method; any differences between proceeds (net of transaction costs) and the redemption value is recognised in the income statement over the period of the borrowings using the effective interest method.

Borrowings are classified as current liabilities unless the Group has an unconditional right to defer settlement of the liability for at least 12 months after the reporting date.

(t) Borrowing costs

Borrowing costs, net of any temporary investment income on those borrowings, that are attributable to acquisition, construction or production of a qualifying asset are capitalised as part of the asset. The net borrowing cost capitalised is either the actual borrowing cost incurred on the amount borrowed specifically to finance the asset; or in the case of general borrowings, the borrowing cost is determined using the overall weighted average cost of the borrowings on all outstanding borrowings during the year less any specific borrowings directly attributable to the asset and applying this rate to the borrowing attributable to the asset.

Capitalisation of borrowing costs ceases when all activities necessary to prepare the qualifying asset for its intended use or sale are complete. All other borrowing costs are recognised in the profit and loss account in the year in which they are incurred

(u) Other income

Interest income is recognised using the effective interest method.

Dividends are recognised as income in the period the right to receive payment is established.

Notes (continued)

2 Material accounting policies (continued)

(v) Investment in associates

An associate is an entity in which the company has significant influence and which is neither a subsidiary nor a joint arrangement. The company's investment in its associate is accounted for using the equity method of accounting.

Under the equity method, the investment in the associate is carried in the statement of financial position at cost plus post-acquisition changes in the company's share of net assets of the associate. Goodwill relating to an associate is included in the carrying amount of the investment and is neither amortised nor individually tested for impairment.

The statement of profit or loss reflects the share of the results of operations of the associate. Where there has been a change recognised directly in the equity of the associate, the company recognises its share of any changes and discloses this, when applicable, in the statement of changes in equity, either directly or through other comprehensive income. Profits or losses resulting from transactions between the company and the associate are eliminated to the extent of the interest in the associate.

The share of profit of the associate is shown on the face of the statement of profit or loss. This is profit attributable to equity holders of the associate and, therefore, is profit after tax and non-controlling interests in the subsidiaries of the associates after factoring in other comprehensive income.

The financial statements of the associate are not prepared for the same reporting period as the company. Adjustments are made to bring its accounting policies in line with the company. After application of the equity method, the company determines whether it is necessary to recognise an additional impairment loss on the company's investment in associates. The company determines at each reporting date, whether there is any objective evidence that the investment in the associate is impaired. If this is the case, the company calculates the amount of impairment as the difference between the recoverable amount of the associate and its carrying value and recognises the amount in the 'share of profit of an associate' in the statement of profit and loss.

3 Critical accounting estimates and judgements

Estimates and judgements are continually evaluated and are based on historical experience and other factors, including expected future events that are believed to be reasonable under the circumstances.

(i) Critical accounting estimates and assumptions

Whether assets are impaired

The directors have prepared value-in-use calculations to test whether there is impairment on the Company's assets. Critical assumptions made by the directors in calculating the value-in-use of certain assets are set out in Note 22

Notes (continued)

3 Critical accounting estimates and judgements (continued)

Impairment losses on financial assets

A number of significant judgements and estimations are also required in applying the accounting requirements for measuring ECL, such as:

The application of IFRS 9 risk parameters i.e. Probably of default (PD) and Loss given at default (LGD) for trade receivables.

Income and transaction taxes

The Group is subject to income and transaction taxes in various jurisdictions. Significant judgment is required in determining the Group's provision for income and transaction taxes. There are many transactions and calculations for which the ultimate tax determination is uncertain during the ordinary course of business. The Group recognizes liabilities for anticipated tax audit issues based on estimates of whether additional taxes will be due. Where the final tax outcome of these matters is different from the amounts that were initially recorded, such differences will impact the financial statements in the period in which such determination is made.

As a contribution to the partnership with Nutreco BV and in exchange for the shares, Unga Millers (U) Ltd (UMUL) transferred its property, fixed assets, moveable assets and business information and records to Tunga Nutrition (U) Limited (TNUL) on a going concern basis by way of an asset transfer agreement executed in the financial year ended 30 June 2022. UMUL subscribed for shares in TNUL in accordance with the Uganda companies Act 2012 by contributing its assets at a premium. Pursuant to section 45 of the Tax Procedure Code Act, 2014 Unga Millers (U) Limited made an application for a private ruling to the Uganda Revenue Authority (URA) in relation to its asset transfer to Tunga Nutrition (U) Limited with respect to Value Added Tax (VAT).

This was based on the understanding that the transfer of business assets is not subject to Value Added Tax as it does not fall within the ambit of a taxable supply considering it is not a supply made as part of the business activities of Unga Millers within the meaning of section 18 of the VAT Act, and does not fall within the meaning of a supply in section 10 of the VAT Act. The group has since appealed the decision of the URA which was not favourable, and the matter is before the Tax Appeals Tribunal.

Based on professional advice received, management believe they have a strong case to defend their position.

Deferred income tax asset

As per IAS 12, deferred income tax asset should only be recognized for deductible temporary differences, unused tax losses and unused tax credits to the extent that it is probable that taxable profit will be available against which the deductible temporary differences can be utilized. Management has applied significant judgement in determining whether the deferred income tax asset should be recognised in particular for its human nutrition business that has been loss making in the past few years and has accumulated taxable losses amounting to Shs 620 million. Management's budgets/ projections indicate the human nutrition business performance will get back to profitability in the coming financial year.

Notes (continued)

4 Financial risk management objectives and policies

The Group's activities expose it to a variety of financial risks, including liquidity risk, credit risk, the effects of changes in debt and equity market prices, foreign currency exchange rates and interest rates. The Group's overall risk management programme focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on its financial performance.

Financial risk management is carried out by the finance department under the guidance of the Board of Directors.

Market risk

(i) Interest rate risk

Group

Interest rate risks arise from fluctuations in the bank borrowing rates. The interest rates vary from time to time depending on the prevailing economic circumstances. The Group closely monitors the interest rate trends to minimize the potential adverse impact of interest rate changes by for example, negotiating for fixed terms while borrowing.

The Group's interest rate risk arises from long-term borrowings. Borrowings issued at variable rates expose the company to cash flow interest rate risk which is partially offset by cash held at variable rates. The Group regularly monitors financing options available to ensure optimum interest rates are obtained.

If interest rates increased by 100 basis points (2023: 100 basis points) profit after tax and equity would have been higher/ lower by Shs 23,320,066 (2023: 10,746,300).

Company

The risk is not relevant to the company as it has no borrowings.

(ii) Price risk

Price risk arises from fluctuations in the prices of equity investments. At 30 June 2024 and 30 June 2023, the Group and company did not hold investments that would be subject to price risk; hence this risk is not relevant.

(iii) Foreign exchange

Group

The Group is exposed to foreign exchange risk arising from various currency exposures, primarily, with respect to the US dollar and the Euro. Foreign exchange risk arises from future commercial transactions and recognised assets and liabilities.

Management's policy to manage foreign exchange risk is to hold foreign currency bank accounts which act as a natural hedge for purchases of imported raw materials and finished products.

At 30 June 2024, if the Kenyan Shilling had weakened/strengthened by 5% against the USD with all other variables held constant, post-tax profit for the year and equity would have been Shs 42,634,811 (2023: Shs 93,806,487) higher/lower, mainly as a result of US dollar denominated trade payables and bank balances.

Notes (continued)

4 Financial risk management objectives and policies (continued)

Market risk (continued)

(iii) Foreign exchange (continued)

	2024 USD	2023 USD	2024 EUR	2023 EUR	2024 GBP	2023 GBP
<i>Assets:</i>						
Bank balances	390,877	891,580	103	10,187	-	-
Total assets	390,877	891,580	103	10,187	-	-
<i>Liabilities:</i>						
Trade and other payables	6,920,737	13,588,990	10,902	31,397	-	220,996
Total liabilities	6,920,737	13,588,990	10,902	31,397	-	220,996
Net total liabilities	6,529,860	12,697,410	10,799	21,210	-	220,996

Company

The company has no foreign currency denominated financial instruments and thus is not exposed to foreign exchange risks.

Credit risk

Credit risk arises from cash and cash equivalents and deposits with banks and financial institutions as well as credit exposures to customers, including outstanding receivables and committed transactions. Credit risk is the risk that a counterparty will default on its contractual obligations resulting in financial loss to the Group.

Credit risk is managed by the Group Finance Director who is responsible for managing and analysing credit risk for each new and existing clients before standard payment and delivery terms are offered.

In assessing whether the credit risk on a financial asset has increased significantly, the Group compares the risk of default occurring on the financial asset as at the reporting date with the risk of default occurring on that financial asset as at the date of initial recognition. In doing so, the Group considers reasonable and supportable information that is indicative of significant increases in credit risk since initial recognition and that is available without undue cost or effort. There is a rebuttable assumption that the credit risk on a financial asset has increased significantly since initial recognition when contractual payments are more than 30 days past due. For this purpose, default is defined as having occurred if the debtor is in breach of contractual obligations, or if information is available internally or externally that suggests that the debtor is unlikely to be able to meet its obligations.

Notes (continued)

4 Financial risk management objectives and policies (continued)

Credit risk (continued)

The Group has adopted the Expected Credit Losses (ECL) model to determine the impairment of trade receivables. The Group opted to adopt the simplified approach of determining the impairment provision. This model includes some operational simplifications for trade and other receivables because they are often held by entities that do not have sophisticated credit risk management systems. These simplifications eliminate the need to calculate 12-month ECL and to assess when a significant increase in credit risk has occurred.

Using the simplified approach, management has segmented their accounts receivable balances into related parties and third party trade debtors.

For trade debtors, management has used the simplified approach to determine probabilities of default (PD) using collection trends in the past adjusted for forward looking economic variables as applicable. The average PDs are then used to determine the provision. All debtors that are 120 days past due are considered to be at default based on past experience. The exposure at default is adjusted for guarantees and other collateral held to determine the Loss Given Default (LGD).

Related party receivable balances are assessed for impairment based on the counterparty's ability to settle on demand. No impairment was noted from management's assessment.

Cash balances and long-term deposits have been assessed for lifetime expected credit losses based on the credit rating of the financial institutions holding the assets. The calculated impairment was considered immaterial to warrant any adjustment.

The amount that best represents the Group and Company's maximum exposure to credit risk at 30 June 2024 is made up as follows:

Group	Gross amount	Less: Loss allowance	Net carrying amount
At 30 June 2024:	Shs'000	Shs'000	Shs'000
Cash at bank balances (Note 28)	250,736	-	250,736
Trade receivables (Note 20)	836,589	(448,465)	388,124
Related party trade receivables (Note 20)	1,050,034	-	1,050,034
Other receivables	546,811	-	546,811
	<u>2,684,170</u>	<u>(448,465)</u>	<u>2,235,705</u>
At 30 June 2023			
Cash at bank balances (Note 28)	493,581	-	493,581
Trade receivables (Note 20)	2,019,090	(478,126)	1,540,964
Related party trade receivables (Note 20)	800,130	-	800,130
Other receivables	254,116	-	254,116
	<u>3,566,917</u>	<u>(478,126)</u>	<u>3,088,791</u>

The Group holds bank guarantees amounting to Shs 1.213 billion (2023: Shs 1.134 billion) as collateral for trade receivables. No collateral is held for the other assets. All receivables that are either past due or impaired are within their approved credit limits, and no receivables have had their terms renegotiated.

Notes (continued)

4 Financial risk management objectives and policies (continued)

Credit risk (continued)

	2024 Shs'000	2023 Shs'000
- Neither past due nor impaired	1,682,528	1,627,863
- Past due not impaired	204,095	713,231
Subtotal – Not impaired	1,886,623	2,341,094
Impaired (Note 20)	448,465	478,126

All receivables past due by more than 120 days are impaired and are carried at their estimated recoverable value. This is in addition to the qualitative analysis performed by management.

Company	2024 Shs'000	2023 Shs'000
Other receivables (Note 20)	4,256	4,240
Cash and cash equivalents (Note 28)	3,014	3,008
Due from related parties (Note 30(vi))	57,172	57,008
	64,442	64,256

v) Concentration risk

The concentration risk relates to exposure on sales that the Group faces on dealing with its key customers. The analysis below shows that the Group's two customers (Kenchic Limited and Tunga Nutrition Kenya Limited) accounted for 24% of the revenue of the Group (2023:17%). This customer has a high credit rating. All other sales are to a wide unrelated customer base.

	Note	2024 Shs'000	%	2023 Shs'000	%
Kenchic Limited	30	3,787,715	16%	3,438,152	14%
Tunga Nutrition Kenya Limited	30	1,476,843	6%	811,156	3%
Others		18,439,305	78%	19,801,716	83%
Total		23,703,863	100%	24,051,024	100%

vi) Liquidity risk

Ultimate responsibility for liquidity risk management rests with the Board of Directors, which together with management, closely monitors the Group's short, medium- and long-term funding and liquidity management requirements. The Group manages liquidity risk by maintaining adequate reserves, banking facilities and reserve borrowing facilities, by continuously monitoring forecast and actual cash flows and matching the maturity profiles of financial assets and liabilities.

The table below analyses the Group's financial liabilities that will be settled on a net basis into relevant maturity groupings based on the remaining period at end of reporting period to the contractual maturity date. The amounts disclosed in the table below are the contractual undiscounted cash flows. Balances due within 12 months equal their carrying balances, as the impact of discounting is not significant.

Notes (continued)

4 Financial risk management objectives and policies (continued)

vi) Liquidity risk (continued)

(a) Group	Below one year Shs'000	2-5 years Shs'000	Over 5 years Shs'000	Totals Shs'000
At 30 June 2024:				
Liabilities:				
Trade payables (Note 21)	2,124,176	-	-	2,124,176
Other payables (Note 21)	696,073	-	-	696,073
Due to related parties (Note 30)	866,644	-	-	866,644
Borrowings	2,150,301	362,814	-	2,513,115
Lease liability	27,008	81,024	-	108,032
Total financial liabilities	5,864,202	443,838	-	6,308,040
At 30 June 2023:				
Liabilities:				
Trade payables (Note 21)	1,241,453	-	-	1,241,453
Other payables (Note 21)	1,843,414	-	-	1,843,414
Due to related parties (Note 30)	1,480,802	-	-	1,480,802
Borrowings	1,427,422	-	-	1,427,422
Lease liability	35,182	27,355	-	62,537
Total financial liabilities	6,028,273	27,355	-	6,055,628

The Group has undrawn committed borrowing facilities amounting to Shs 224,405,000 available in both KES and USD (2023: Shs 190,358,000 and USD 1,357,000). The borrowing facilities consist of loans and bank overdrafts. Security for these borrowings includes an all-assets debenture for Shs 2.3 billion issued by subsidiary companies, corporate guarantees by Group companies and legal charges over certain properties owned by subsidiary companies, and a property registered in the name of a Group company.

(b) Company	Below one year Shs'000	Over one year Shs'000	Totals Shs'000
At June 2024			
Liabilities:			
Other payables (Note 21)	9,456	-	9,456
Due to related parties (Note 21)	356,710	-	356,710
Total financial liabilities	366,166	-	366,166
At June 2023			
Liabilities:			
Other payables (Note 21)	8,009	-	8,009
Due to related parties (Note 21)	314,697	-	314,697
Total financial liabilities	322,706	-	322,706

Notes (continued)

4 Financial risk management objectives and policies (continued)

vii) Capital management

The Group's objectives when managing capital are to safeguard the Group's ability to continue as a going concern in order to provide returns for shareholders and to maintain an optimal capital structure to reduce the cost of capital. In order to maintain or adjust the capital structure, the Group may adjust the amount of dividends paid to shareholders, issue new capital or sell assets to reduce debt.

Consistent with others in the industry, the Group monitors capital on the basis of the gearing ratio. This ratio is calculated as net debt divided by total capital. Net debt is calculated as total borrowings (including 'current and non-current borrowings') less cash and cash equivalents. Total capital is calculated as equity plus net debt.

The constitution of capital managed by the Group is as follows:

Net debt reconciliation and gearing ratio	2024	2023
	Shs'000	Shs'000
Equity	5,101,046	5,775,389
Borrowings (Note 17)	2,332,007	1,074,630
Less: cash equivalents (Note 28)	(250,950)	(493,684)
Net debt/ (cash)	2,081,057	580,946
Debt to Equity ratio	41%	10%

Fair value estimation

The different level of fair value measurement hierarchy is described as follows:

- Quoted prices (unadjusted) in active markets for identical assets (level 1);
- Inputs other than quoted prices included within level 1 that are observable for the asset, either directly (that is, as prices) or indirectly (that is, derived from prices) (level 2); and
- Inputs for the asset that are not based on observable market data (that is, unobservable data) (level 3).

The fair value of financial instruments traded in active markets is based on quoted market prices at the year-end date. A market is regarded as active if quoted prices are readily and regularly available from an exchange, dealer, broker, industry group and those prices represent actual and regularly occurring market transactions on an arm's length basis. The quoted market price used for financial assets held by the Group is the current bid price. These instruments are included in level 1.

The fair value of financial instruments that are not traded in an active market is determined by using valuation techniques such as discounted cash flow analysis. These valuation techniques maximize the use of observable market data where it is available and rely as little as possible on entity specific estimates. If all significant inputs required to fair value an instrument are observable, the instrument is included in level 2.

If one or more of the significant inputs is not based on observable market data, the instrument is included in level 3.

The carrying amounts of all assets and liabilities at the year-end date approximate their fair values.

Notes (continued)

5 Revenue from contracts with customers	Group		Company	
	2024 Shs'000	2023 Shs'000	2024 Shs'000	2023 Shs'000
Sales recognised at a point in time by category:				
Human nutrition	8,643,844	11,280,545	-	-
Animal nutrition	14,983,932	12,676,747	-	-
Animal health products	76,087	93,732	-	-
	<u>23,703,863</u>	<u>24,051,024</u>	<u>-</u>	<u>-</u>
Sales recognised at a point in time by geography:				
Local sales	23,583,780	23,994,921	-	-
Export sales	120,083	56,103	-	-
	<u>23,703,863</u>	<u>24,051,024</u>	<u>-</u>	<u>-</u>

6 Earnings per share	2024	2023
Loss for the year attributable to shareholders (Shs '000)	(449,552)	(636,517)
Weighted average number of ordinary shares ('000)	<u>75,707</u>	<u>75,707</u>
Basic and diluted loss per share:	<u>(5.94)</u>	<u>(8.41)</u>

Diluted loss per share is the same as basic loss per share.

7 Dividends

In respect of the current financial year, the directors do not propose the payment of dividend (2023: Nil). Payment of dividend is subject to withholding tax at a rate of 10% for non-resident shareholders and 5% for resident shareholders. For resident shareholders, withholding tax is only deductible where the shareholding is below 12.5%.

8 Other Income	Group	
	2023 Shs'000	2023 Shs'000
Sale of packing material	5,534	2,959
Gain/loss on disposal of property, plant and equipment	(4,701)	1,451
Sundry income	41,619	140,481
	<u>42,452</u>	<u>144,891</u>

Notes (continued)

9 Segmental reporting

The principal activity of the Group continues to be the milling of wheat and maize and animal nutrition products, and the distribution of animal health products. Management has chosen to organise the entity around differences in market segments served by their products into two main segments namely human nutrition and animal nutrition and health. Management considers the fact that reports regularly reviewed by the chief operating decision maker in order to allocate resources and to assess performance are based on these two operating segments. Leadership team which comprises of the managing director, finance director, commercial director and functional heads is considered to be the key decision-making organ.

Description of the types of products and services from which each reportable segment derives its revenues

Unga Group Plc has two reportable segments: human nutrition and animal nutrition and health. The human nutrition segment produces products for human consumption. The animal nutrition and health segment produce animal feeds and mineral supplement products and distributes products for animal health.

Measurement of operating segment profit or loss, assets and liabilities

The accounting policies of the operating segments are the same as those described in the summary of significant accounting policies.

Factors that management uses to identify the entity's reportable segments

Unga Group Plc segments are strategic business units that serve different market segments. They are managed separately because each business requires different technology and marketing strategies.

Information about major customers

Kenchic Limited and Tunga Nutrition Kenya Limited with revenues of Shs 3,787,715,000 (2023: Shs 3,438,152,000) and Shs 1,476,843 (2023: Shs 811,156) respectively are the major customers under the animal health and nutrition segment accounting for more than 10% of the Group revenue.

Notes (continued)

9 Segmental reporting (continued)

	Human Nutrition Shs'000	Animal Nutrition & Health Shs'000	Others Shs'000	Elimination Shs'000	Discontinuing Operations Shs'000	Consolidation Shs'000
Year ended 30 June 2024						
Revenue from external customers	9,416,520	15,060,019	-	(772,676)	-	23,703,863
Interest income	4,658	1,795	6,828	-	-	13,281
Other income	5,539	36,913	-	-	-	42,452
Finance cost	(313,774)	(244,446)	(1,192)	-	-	(559,412)
Depreciation and amortisation	159,992	86,083	109	-	-	246,184
Reportable segmental profit/ (Loss)	(721,286)	73,978	(157,643)	-	-	(804,951)
Income tax expense	188,811	(51,562)	(1,874)	-	-	135,375
Other material non-cash items:						
Reportable segment assets	5,101,855	6,378,662	6,753,346	(6,941,583)		11,292,280
Capital expenditures for non-current assets	106,803	143,572	-	-		250,375
Reportable segmental liabilities	4,242,024	4,047,481	1,154,253	(3,252,524)		6,191,234

Notes (continued)

9 Segmental reporting (continued)

	Human Nutrition Shs'000	Animal Nutrition & Health Shs'000	Others Shs'000	Elimination Shs'000	Discontinuing Operations Shs'000	Consolidation Shs'000
Year ended 30 June 2023						
Revenue from external customers	12,248,285	12,770,478	-	(967,739)	-	24,051,024
Interest income	13,957	7,727	9,693	-	-	31,377
Other income	123,607	21,435	(151)	-	-	144,891
Finance cost	600,282	190,419	(6,333)	-	-	784,368
Depreciation and amortisation	159,378	96,608	545	-	-	256,531
Reportable segmental profit/ (Loss)	(923,529)	(207,771)	(68,558)	-	-	(1,199,858)
Income tax expense	180,341	63,216	(3,080)	-	-	240,477
Other material non-cash items:						
Reportable segment assets	6,065,222	5,382,777	6,645,913	(6,587,911)	-	11,506,001
Capital expenditures for non-current assets	261,569	97,875	-	-	-	359,444
Reportable segmental liabilities	4,715,740	2,984,704	917,242	(2,887,074)	-	5,730,612

Notes (continued)

10 Finance income and costs

	Group		Company	
	2024	2023	2024	2023
	Shs'000	Shs'000	Shs'000	Shs'000
Finance income;				
Interest income on deposits	13,281	31,377	30	30
	<u>13,281</u>	<u>31,377</u>	<u>30</u>	<u>30</u>
Finance costs;				
Interest expense on bank loans	270,384	59,467	-	-
Interest expense on bank overdrafts	62,670	4,335	-	-
Interest expense on trade finance	117,428	255,042	-	-
Finance charge on leases	41,859	25,754	-	-
Net foreign exchange losses	67,071	439,770	-	-
	<u>559,412</u>	<u>784,368</u>	<u>-</u>	<u>-</u>

11 Breakdown of expenses by nature

The profit/(loss) before taxation is arrived at after charging:

Staff costs (Note 12)	921,699	843,181	-	-
Outsourced selling and distribution costs	70,636	138,571	-	-
Inventories expensed in cost of sales	22,134,362	23,340,000	-	-
Depreciation of plant and equipment (Note 22)	218,847	221,120	-	-
Amortisation of right-of-use assets (Note 23)	24,586	32,846	-	-
Amortisation of intangible assets (Note 24)	2,751	2,565	-	-
Directors' remuneration	24,138	24,564	24,138	24,174
Auditor's fees	14,545	15,228	472	472
Provision for expected credit losses (Note 20)	(29,661)	240,062	-	-
Provision for Uncertain tax positions	122,807	-	-	-

12 Staff costs

	Group		Company	
	2024	2023	2024	2023
	Shs'000	Shs'000	Shs'000	Shs'000
Salaries and wages	639,082	774,174	-	-
Redundancy costs	120,111	32,960	-	-
Retirement benefits obligation (note 26)	21,681	(20,684)	-	-
Social security costs (NSSF) contributions	5,976	1,996	-	-
Other staff costs	134,849	54,735	-	-
	<u>921,699</u>	<u>843,181</u>	<u>-</u>	<u>-</u>

Notes (continued)

12 Staff costs (continued)

	Group	
	2024	2023
The average number of employees of the Group during the year was as follows:		
Production	111	110
Sales and distribution	68	47
Management and administration	106	141
	<u>285</u>	<u>298</u>

13 Income tax expense

The income tax expense has been calculated using income tax rate of 30% as at 30 June 2024 (2023: 30%).

Income tax expense	2024 Shs'000	2023 Shs'000
Current income tax	15,408	6,209
Under provision of current income tax in prior year	(24,509)	-
Deferred income tax (Note 18)	(126,274)	(246,686)
Income tax expense	<u>(135,375)</u>	<u>(240,477)</u>

The tax on the companies profit before tax differs from the theoretical amount that would arise using statutory income tax rate as follows:

	2024 Shs'000	2023 Shs'000
Loss before income tax from:	(804,951)	(1,199,858)
Tax calculated at the statutory income tax rate of 30% (2023 :30%)	(241,485)	(359,957)
Tax effects of:		
Expenses not deductible for tax purposes	127,422	157,224
Income not subject to tax	(19,641)	(6,518)
Under-provision of current income tax in prior years	(24,509)	-
(Under)/ over provision of deferred income tax in prior years	22,838	(33,269)
Deferred Income tax asset not recognised	-	2,043
Income tax expense	<u>(135,375)</u>	<u>(240,477)</u>

Notes (continued)

14 Share capital	Number of Shares (Thousands)	Ordinary Shares Shs'000	Share premium Shs'000
Authorised:			
Balance at 1 July 2022, 30 June 2023 and 30 June 2024	82,760	413,800	73,148
Issued and fully paid:			
Balance at 1 July 2022, 30 June 2023 and 30 June 2024	75,707	378,535	73,148

Ordinary shares entitle the holder to participate in dividends, and to share in the proceeds of winding up the company in proportion to the number of and amounts paid on the shares held. On a show of hands or electronically, every holder of ordinary shares present at a meeting, in person or by proxy, is entitled to one vote, and on a poll each share is entitled to one vote.

15 Other reserves	Currency translation differences Shs'000	Re- measurement of retirement benefit asset Shs'000	Total Shs'000
Year ended 30 June 2024			
At start of year	(763)	(10,652)	(11,415)
Credit to other comprehensive income	(3,099)	-	(3,099)
Transferred to retained earnings	-	10,652	10,652
At end of year	(3,862)	-	(3,862)
Year ended 30 June 2023			
At start of year	(43,889)	11,071	(32,818)
Credit to other comprehensive income	43,126	(21,723)	21,403
At end of year	(763)	(10,652)	(11,415)
16 Non-controlling interests			
Group	2024 Shs'000	2023 Shs'000	
At start of year	1,974,779	2,286,090	
Share of loss for the year	(220,024)	(322,864)	
Share of other comprehensive income	(1,668)	11,553	
At end of year	1,753,087	1,974,779	

16 Non-controlling interests (continued)	2024	2023
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Notes (continued)

	Shs'000	Shs'000
Unga Holdings Limited:		
35% Equity interest held by Seaboard Corporation in Unga Holdings Limited	1,753,087	1,974,779

Summarised financial information on subsidiaries with material non-controlling Interests

Unga Holdings Limited which has a 35% non-controlling interest operates as a holding company. A summary of its financial performance is set out below:

Unga Holdings Limited summarised Statement of Financial Position	2024	2023
	Shs'000	Shs'000
Current assets	6,488,278	6,871,824
Current liabilities	(5,748,978)	(5,712,969)
Total current net assets	739,300	1,158,855
Non-current assets	5,093,521	4,879,504
Non-current liabilities	(483,177)	(54,840)
Total non-current net assets	4,610,344	4,824,664
Total net assets	5,349,644	5,983,519
Unga Holdings Limited summarised statement of comprehensive income		
Revenue	23,703,863	24,051,024
Loss before income tax	(765,419)	(1,165,230)
Income tax(credit)/ expense	136,777	243,231
Loss from continuing operations	(628,642)	(921,999)
Profit/ (loss) from discontinuing operations	-	-
Other comprehensive income	(4,767)	32,956
	(633,409)	(889,043)
Unga Holdings Limited summarised cash flows		
Net cash absorbed from operating activities	(1,170,153)	(372,541)
Net cash used in investing activities	(249,316)	(346,369)
Net cash from financing activities	1,232,499	551,236
Net (decrease) in cash and cash equivalent	(186,970)	(167,674)
Cash and cash equivalent at start of year	427,559	675,498
Net (decrease)/ increase in cash and cash equivalent	(186,970)	(167,674)
Effect of exchange rates	7,332	(80,265)
At end of year	247,921	427,559

17 Borrowings

2024 2023

Notes (continued)

	Shs'000	Shs'000
Group		
Bank loans	2,332,007	1,074,630
The borrowings are classified as follows:		
Current		
Bank borrowings repayable within 1 year	2,097,166	1,074,630
Non- current		
Bank borrowings repayable between 2-5 years	234,841	-
	2,332,007	1,074,630
Movement in borrowings:		
At start of year	1,074,630	493,084
Received during the year	6,922,629	1,809,274
Repaid during the year	(5,665,252)	(1,227,728)
At end of year	2,332,007	1,074,630

Bank loans comprise the following facilities to the subsidiary Companies;

Unga Limited – NCBA facility

The Bank facility taken over by NCBA Bank from ABSA Bank comprised of a 6-year term loan of Shs 860,000,000 taken in 2017 to finance the purchase and construction of a new wheat milling plant in Eldoret. Interest charged is Central Bank Rate (CBR) plus 6.35% Margin. The loan is repayable in equal instalments after the end of the moratorium of 12 months. The entire loan had been drawn down as at 30 June 2022. The effective interest rate on the facility at 30 June 2024 was 19.35% (2023: 16.85%) The borrowings are secured by an all-assets debenture for Shs 1.885 billion, corporate guarantees by Unga Group Plc of Shs 1.885 billion and legal charges of Shs 1.885 billion over certain properties.

In the year ended 30 June 2023, a 6-year asset finance facility loan of Shs 188.5 million loan was secured with NCBA bank to finance the construction and installation of pv solar. Interest charged is Bank's Kes Base rate which was 17.5% plus 1.6% Margin. A total of Shs 162,664,811 of the loan amount had been drawn down as at 30 June 2024 (2023: Shs 137,805,818). The effective interest rate on the facility as at 30 June 2024 was 19.1% (2023:13.6%).

Unga Limited has a composite facility from NCBA bank comprising of overdraft facility, invoice discounting, bank guarantees, stock loan, letters of credit, post import finance and invoice discounting amounting to USD 4,067,300 (Shs 530,172,555) available in both US dollars and KES. Unused facilities at year end available to Unga Limited together with its fellow subsidiary Unga Farm Care (EA) Limited amounted to Shs 224,405,000 (2023: Shs 190,358,000). The facility is at an interest rate of Bank's Kes Base rate which was 17.5% plus 2.6% margin for KES facilities and 3-month USD SOFR rate plus 4% for USD facilities. The effective interest rate for the year ended 30 June 2024 was 20.1% for KES facilities (2023:14.6%) and 9.35% for USD facilities (2023:9.08%).

Under the terms of the "facility agreement" dated 26 September 2023, the Company is required to comply with certain financial covenants. The following financial covenants had not been complied with as at 30 June 2024:

- Debt Service Cover - The ratio of cash flow to debt service shall not fall below 1.25 times to 1 (ratio as at 30 June 2024 was -0.19)
- Leverage or total gearing ratio shall not be above 3.1 times of equity for such relevant period (ratio as at 30 June 2024 was 3.81)

Notes (continued)

17 Borrowings (continued)

The Company received a letter from the lender confirming that the breach had been condoned as at year end.

Unga Farm Care (EA) Limited – NCBA

In the financial year ended 30 June 2023, a 5-year asset finance facility loan of Shs 146,144,000 loan was secured with NCBA bank to finance the construction and installation of pv solar. Interest charged is the Bank Base rate plus 1.6% Margin. A total of Shs. 118,982,220 of the loan amounts had been drawn down as at 30 June 2024. The Bank base rate plus margin on the facility as at 30 June 2024 was 19.1% (2023: 13.6%)

In the year ended 30 June 2023, a 12-month moratorium effective February 2023 was granted on principal and interest ended and principal repayment commenced in March 2024.

Unga Farm Care (EA) Limited has a composite facility from NCBA bank comprising of overdraft facility, invoice discounting, bank guarantees, stock loan, letters of credit and post import finance amounting to USD 6,400,000 (Shs 832,240,000) and Kes 450,000,000 to be availed in both USD and Kes. Unused facilities at year end available to Unga Farm Care (EA) Limited together with its fellow subsidiary Unga Limited amounted to Shs 224,405,000 (2023: Shs 190,358,000). The facility is at an interest rate of bank's base rate plus a margin of 2.6% per annum for KES facilities and 3-month USD SOFR rate plus 4% for USD facilities. The effective interest rate for the year ended 30 June 2024 was 20.1% for KES facilities (2023:14.6%) and 9.35% for USD facilities (2023:9.08%).

18 Deferred income tax

Deferred income tax is made up of the following.

	Group	
	2024 Shs'000	2023 Shs'000
Deferred income tax assets	352,680	182,126
Deferred income tax liabilities	(97,758)	(53,478)
Net deferred income tax assets	254,922	128,648

Deferred income tax is calculated using the enacted income tax rate of 30% (2023: 30%).

The movement in the net deferred income tax assets is as follows:

	2024 Shs'000	2023 Shs'000
At start of year	128,648	(132,362)
Credit/ (charge) to profit or loss	126,274	246,686
Charge to other comprehensive income (Note 18)	-	14,324
At end of year	254,922	128,648

Notes (continued)

18 Deferred income tax (continued)

Year ended 30 June 2024	01.07.2023	Charged/ (credited) to P/L	(Credit) to OCI	30.06.2024
	Shs'000	Shs'000	Shs'000	Shs'000
Deferred income tax liabilities				
Property plant and equipment	499,115	(16,475)	-	482,640
Retirement benefits obligation	2,332	(2,332)	-	-
Unrealised exchange gains	-	12,932	-	12,932
	501,447	(5,875)	-	495,572
Deferred income tax assets				
Unrealised exchange losses	(21,299)	30,264	-	8,965
Other deductible differences	(111,256)	(46,476)	-	(157,732)
Tax losses carried forward	(679,666)	(104,187)	-	(783,853)
	(812,221)	(120,399)	-	(932,620)
Deferred income tax asset not recognised	182,126	-	-	182,126
Net deferred income tax	(128,648)	(126,274)	-	(254,922)
Year ended 30 June 2023	01.07.2022	Charged/ (credited) to P/L	(Credit) to OCI	30.06.2023
	Shs'000	Shs'000	Shs'000	Shs'000
Deferred income tax liabilities				
Property plant and equipment	538,046	(38,931)	-	499,115
Retirement benefits scheme asset	16,656	-	(14,324)	2,332
	554,702	(38,931)	(14,324)	501,447
Deferred income tax assets				
Unrealized exchange losses	(6,408)	(14,891)	-	(21,299)
Other deductible differences	(54,600)	(56,656)	-	(111,256)
Tax losses carried forward	(541,415)	(138,251)	-	(679,666)
	(602,423)	(209,798)	-	(812,221)
Deferred income tax asset not recognized	180,083	2,043	-	182,126
Net deferred income tax	132,362	(246,686)	(14,324)	(128,648)

The Group has not recognised the deferred income tax asset amounting to Shs 182 million arising from tax losses carried forward in a non-operating subsidiary entity because it is uncertain as to when the Group will generate sufficient future profits to utilise the losses.

Deferred income tax asset includes deferred income tax arising from tax losses reported in some operating subsidiaries with part attribution to capital allowances granted in the past. The group has applied judgement in concluding that the deferred income tax assets will be recoverable from the future taxable income based on the approved business plans and budgets for the subsidiaries.

Notes (continued)

19 Inventories

	Group 2024 Shs'000	2023 Shs'000
Raw materials	2,643,479	1,979,057
Finished products	538,782	662,162
Packing materials	85,982	84,659
Engineering spares	133,052	114,716
	<u>3,401,295</u>	<u>2,840,594</u>

Amounts recognised in profit or loss

Inventories expensed in cost of sales amounted to Shs 22.63 billion (2023: Shs 21.14 billion).

Reversal of provision for inventories amounted to Shs 4.63 million (2023: Reversal of Shs 2.63 million).

20 Trade and other receivables

	Group 2024 Shs'000	2023 Shs'000	Company 2024 Shs'000	2023 Shs'000
Trade receivables	836,589	2,019,090	-	-
Related party trade receivables (Note 30 vi)	1,050,034	800,130	-	-
Less: Provision for expected credit losses	(448,465)	(478,126)	-	-
	<u>1,438,158</u>	<u>2,341,094</u>	<u>-</u>	<u>-</u>
VAT recoverable	439,650	397,958	-	-
Other receivables and prepayments	554,088	463,449	4,256	4,240
Due from related parties (Note 30)	607	-	57,172	57,008
	<u>2,432,503</u>	<u>3,202,501</u>	<u>61,428</u>	<u>61,248</u>

The movements in the provision for expected credit losses on trade and other receivables was as follows:

	Group 2024 Shs'000	2023 Shs'000
At start of year	478,126	238,064
Charge to profit or loss in the year	(29,661)	240,062
At end of year	<u>448,465</u>	<u>478,126</u>
Expected credit losses are made up as follows:		
Trade receivables	448,465	478,126
Other receivables	-	-
	<u>448,465</u>	<u>478,126</u>

Notes (continued)

21 Trade and other payables

	Group		Company	
	2024	2023	2024	2023
	Shs'000	Shs'000	Shs'000	Shs'000
Trade payables	2,124,176	1,241,453	-	-
Other payables and accrued expenses	696,073	1,843,414	9,456	8,009
Due to related parties (Note 30 vi)	866,644	1,480,802	356,710	314,697
	<u>3,686,893</u>	<u>4,565,669</u>	<u>366,166</u>	<u>322,706</u>

22 Property, plant and equipment - Group

	Buildings	Plant and equipment	Motor vehicles	Work in progress	Total
	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
Year ended 30 June 2024					
At start of the year	1,057,264	1,347,377	1,005	603,593	3,009,239
Additions	2,857	66,101	11,379	165,635	245,972
Transfers of renovated silos from WIP to plant and equipment	-	4,403	-	(4,403)	-
Disposals	-	(9,119)	-	-	(9,119)
Depreciation charge	(28,946)	(188,233)	(1,668)	-	(218,847)
Depreciation on disposals	-	9,119	-	-	9,119
Closing net carrying amount	<u>1,031,175</u>	<u>1,229,648</u>	<u>10,716</u>	<u>764,825</u>	<u>3,036,364</u>
At 30 June 2024					
Cost	1,286,493	3,074,471	320,346	764,825	5,446,135
Accumulated depreciation	<u>(255,318)</u>	<u>(1,844,823)</u>	<u>(309,630)</u>	<u>-</u>	<u>(2,409,771)</u>
Net carrying amount	<u>1,031,175</u>	<u>1,229,648</u>	<u>10,716</u>	<u>764,825</u>	<u>3,036,364</u>

Notes (continued)

22 Property, plant and equipment -Group (continued)

	Buildings Shs'000	Plant and equipment Shs'000	Motor vehicles Shs'000	Work in progress Shs'000	Total Shs'000
Year ended 30 June 2023					
At start of the year	1,066,786	1,485,739	16,840	319,975	2,889,340
Additions	9,823	47,876	-	294,944	352,643
Transfers	9,035	1,350	-	(10,385)	-
Disposals	-	(2,801)	(17,539)	(941)	(21,281)
Depreciation charge	(28,380)	(187,588)	(5,152)	-	(221,120)
Depreciation on disposals	-	2,801	6,856	-	9,657
Net carrying amount	1,057,264	1,347,377	1,005	603,593	3,009,239
At 30 June 2023					
Cost	1,286,493	3,003,754	308,967	603,593	5,202,807
Accumulated depreciation	(229,229)	(1,656,377)	(307,962)	-	(2,193,568)
Net carrying amount	1,057,264	1,347,377	1,005	603,593	3,009,239

The work in progress in the current period is in relation to the ongoing solar project, Nairobi feeds weighbridge installation and cross gantry conveyors project.

Transfers relate to building capitalized after venture asset transfer within the year.

Impairment assessment

The decline in business performance occasioned by a challenging operating environment gave rise indicators of potential impairment of certain milling assets. As required by the International Financial Reporting Standards, management prepared a projected cash flows model to assess for impairment.

The following table describes the key assumptions used by management in the value in use calculations that were prepared to test the assets with a net book value of Shs 730,028,000 for impairment:

Assumption	Approach used to determine values:
Discount rate	Based on specific risks relating to the industry and country for KES denominated cash flows. Factors considered for the industry include regulatory environment, market competition, and barriers to entry.
Volume growth	This is based on management's market sizing and market share projection.
Gross margin	Based on past experience and management expectations of the future.
Selling, general and administrative expenses growth	Based on past experience and management expectations of the future.

Based on the assumptions described above, the recoverable amount for the assets was higher than the carrying amount at 30 June 2024 resulting in a headroom of Shs 126 million.

Notes (continued)

22 Property, plant and equipment -Group (continued)

Impairment assessment (continued)

Sensitivity analysis

The results of impact of possible adverse shift in key model input, judgements and assumptions are as follows;

- If volumes growth after 2025 drop by 1% to an average of 3 over the remaining projection period, the headroom decreases to Shs 99 million.
- If gross profit margin reduces by 1 % from 7% after 2025 to 6%, an impairment of Shs 230 million will be recorded.
- If Selling and general administrative cost increase by 0.5% of revenue to 6.5%, an impairment of Shs 60 million will be recorded.
- If the discount rate increases by 1%, the headroom decreases to Shs 85 million.

The directors and management have considered and assessed reasonably possible changes for other key assumptions and have not identified any instances that could cause significant misstatement of the value-in-use calculations used to estimate the recoverable amount of the cash generating units (CGU).

Notes (continued)

23 Leases - Group

(i) Right-of-use assets

	Leasehold land Shs'000	Warehouse Shs'000	Motor vehicles Shs'000	Total Shs'000
Year ended 30 June 2024				
Cost				
At start of year	173,800	103,236	74,883	351,919
Additions	-	63,564	-	63,564
Disposal/terminated	-	(4,602)	-	(4,602)
	<u>173,800</u>	<u>162,198</u>	<u>74,883</u>	<u>410,881</u>
Amortisation				
At start of year	40,846	76,165	74,883	191,894
Charge for the year	2,616	21,970	-	24,586
	<u>43,462</u>	<u>98,135</u>	<u>74,883</u>	<u>216,480</u>
At end of year				
Carrying amount at end of year	<u>130,338</u>	<u>64,063</u>	<u>-</u>	<u>194,401</u>
Year ended 30 June 2023				
Cost				
At start of year	173,800	98,968	74,186	346,954
Additions	-	6,902	697	7,599
Disposal/terminated	-	(2,634)	-	(2,634)
	<u>173,800</u>	<u>103,236</u>	<u>74,883</u>	<u>351,919</u>
Amortisation				
At start of year	38,229	54,413	66,406	159,048
Charge for the year	2,617	21,752	8,477	32,846
	<u>40,846</u>	<u>76,165</u>	<u>74,883</u>	<u>191,894</u>
At end of year				
Carrying amount at end of year	<u>132,954</u>	<u>27,071</u>	<u>-</u>	<u>160,025</u>

The Group has pledged leasehold land with a net book value of Shs 16,956,000 (2023: Shs 17,473,950) to secure borrowings granted to it (see Note 17).

Notes (continued)

23 Leases - Group (continued)

<i>(ii) Lease liabilities</i>	2024 Shs '000'	2023 Shs '000'
Current	24,418	28,603
Non-current	39,146	1,363
	<u>63,564</u>	<u>29,966</u>
<i>(iii) Lease liability movement</i>		
Start of the year	29,966	55,311
Additions	63,564	6,903
Finance charge	1,836	4,839
Finance charge payments	(1,836)	(4,839)
Repayments in the year	(24,878)	(30,311)
Early lease termination	(4,602)	(1,937)
Gain on lease termination	(486)	-
	<u>63,564</u>	<u>29,966</u>
At end of year	<u>63,564</u>	<u>29,966</u>
Amounts recognized in profit or loss		
Interest on lease liabilities	1,836	4,839
Amortisation of right of use assets	24,586	32,846
	<u></u>	<u></u>
Amounts recognized in statement of cashflows:		
Payment of principal portion on lease liabilities	24,878	30,311
Payment of interest	1,836	4,839
	<u>26,714</u>	<u>35,150</u>

24 Intangible assets

Computer software	2024 Shs '000'	2023 Shs '000'
Group		
Cost		
At start of year	402,152	395,351
Additions	-	6,801
At end of year	<u>402,152</u>	<u>402,152</u>
Amortisation		
At start of year	385,398	382,833
Amortisation for the year	2,751	2,565
At end of year	<u>388,149</u>	<u>385,398</u>
Net book value	<u>14,003</u>	<u>16,754</u>

Notes (continued)

25 Investment in subsidiaries – Company

Unquoted investment at cost in wholly owned subsidiary	2024 Shs'000	2023 Shs'000
Unga Investments Limited	1,297,335	1,297,335

Details of the Company's subsidiaries are as follows:

Company name	Principal place of business	Principal activity	% Interest held	Share Capital Shs'000
Unga Investments Limited	Kenya	Operates as a holding and an investment company.	100	22,200

Unga Investments Limited has a 65% holding in its subsidiary, Unga Holdings Limited which operates as a holding company in Kenya and has the following subsidiaries:

Company name	Principal place of business	Principal activity	% interest held	Share capital Shs'000
Unga Limited	Kenya	Milling of wheat and maize	100%	220,000
Unga Farm Care (EA) Limited	Kenya	Manufacture of animal nutrition products and distribution of animal health products	100%	22,520
Unga Feeds Limited	Kenya	Dormant company	100%	42,300
Unga Foods Limited	Kenya	Dormant company	100%	15,400
Unga Millers (U) Limited	Uganda	Milling of wheat and maize, and distribution of animal nutrition products	100%	7,280
Ennsvalley Bakery Limited	Kenya	Dormant company	100%	250

Notes (continued)

26 Post-employment benefits obligation - Group

Retirement benefits scheme

The Group operated a contributory defined benefits pension plan for employees of Unga Limited and Unga Farm Care (EA) Limited. The retirements benefits scheme asset represents the Group's share of the actuarial surplus of the fair value of the scheme assets over the value of past service pension obligations after applying an asset ceiling to the group. An asset ceiling was applied in the prior year only to recognise the benefit arising from reduced employer contributions available to the company as a result of the scheme being in an actuarial surplus position.

With effect from 1 January 2022, the Company commenced operating a defined contribution retirement benefit scheme for its employees as the defined benefit scheme was closed to new members and to further contributions. For defined contribution plans, the company pays contributions to a multi employer (umbrella) administered pension insurance plan on a mandatory, contractual or voluntary basis. The Company has no further payment obligations once the contributions have been paid. The contributions are recognized as employee benefit expense when they are due. Prepaid contributions are recognized as an asset to the extent that a cash refund or a reduction in future payments is available. The transfer of balances was done based on the benefits accrued as at 30 June 2023.

During the year ended 30 June 2024, management completed the process of transferring the scheme's assets to the umbrella fund, Zamara Fanaka Retirement Fund, together with the member obligation.

The amount included in the statement of financial position arising from the Group's obligation in respect of this defined benefits pension scheme is arrived at as follows:

	2024	2023
	Shs'000	Shs'000
Present value of funded obligation	-	939,865
Fair value of plan assets	-	(983,227)
Surplus on funded plan	-	(43,362)
Impact of asset ceiling	-	21,681
Retirement benefit scheme as recognised in the statement of financial position		
		(21,681)

Notes (continued)

26 Post-employment benefits obligation - Group (continued)

The movement in the retirement benefit scheme asset over the year was as follows:

	Present value of Obligation	Fair value of plan assets	Total	Impact of asset ceiling	Total
Year ended 30 June 2024	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
At start of year	939,865	(983,227)	(43,362)	21,681	(21,681)
Loss on transfers	-	43,362	43,362	(21,681)	21,681
Charge to profit or loss		43,362	43,362	(21,681)	21,681
Transfers from plan	(939,865)	939,865	-	-	-
At end of year	-	-	-	-	-
Year ended 30 June 2023	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
At start of year	923,026	(982,014)	(58,988)	29,494	(29,494)
Current service cost	-	-	-	-	-
Interest expense/ (income)	115,017	(135,701)	(20,684)	-	(20,684)
Charge to profit or loss	115,017	(135,701)	(20,684)	-	(20,684)
Re measurements:					
Return on plan assets	-	79,051	79,051	-	79,051
Change in experience	(42,696)	-	(42,696)	1	(42,695)
Change in assumptions	(60)	19,262	19,202	-	19,202
Change in asset ceiling	-	-	-	(7,814)	(7,814)
Charge to other comprehensive income	(42,756)	98,313	55,557	(7,813)	47,744
Contributions:					
- Employees	-	-	-	-	-
- Employer	-	(19,247)	(19,247)	-	(19,247)
Payments from plan	(55,422)	55,422	-	-	-
	(55,422)	36,175	(19,247)	-	(19,247)
At end of year	939,865	(983,227)	(43,362)	21,681	(21,681)

Notes (continued)

26 Post-employment benefits obligation – Group (continued)

The sensitivity of the defined benefit obligation to changes in the weighted principal assumptions is as follows:

Discount rate	At current discount rate Shs ' million	1% decrease Shs ' million	1% increase Shs ' million
At 30 June 2023			
Present value of obligation	939.9	930.5	949.3

The significant actuarial assumptions were as follows;

	2024	2023
Discount rate	-	15.60%
Rate of salary escalation	-	13.60%
Rate of pension increases	-	0%

Since the bulk of the benefits payable under the scheme are salary related and there are no pensions paid from the scheme, the sensitivity of the liability to a change in the salary escalation assumption is expected to be consistent with the sensitivity to the discount rates.

The plan assets are comprised of the following:

	2023 Shs'000	2023 %
Local Quoted Shares	207,432	21.1
Offshore investments	71,503	7.3
Kenya government securities	673,184	68.5
Fixed and term deposits	33,570	3.4
Net current asset/ (liabilities)	(2,462)	(0.3)
Total assets	983,227	100

Through its defined benefit pension plans, the Group is exposed to a few risks, the most significant of which are detailed below:

Asset volatility

The plan liabilities are calculated using a discount rate set with reference to treasury bonds yields; if plan assets underperform this yield, this will create a deficit. The plan assets currently exceed the liabilities, and this risk is therefore not considered significant.

Changes in bond yields

A decrease in treasury bond yields will increase plan liabilities, although this will be partially offset by an increase in the value of the plans' bond holdings.

The above risks were not applicable as at 30 June 2024 as the group had transferred all the schemes assets and member obligations to the umbrella fund as at that date.

Notes (continued)

27 Cash generated from operations

	Group		Company	
	2024	2023	2024	2023
	Shs'000	Shs'000	Shs'000	Shs'000
Loss before taxation from:	(804,951)	(1,199,858)	(43,274)	(42,191)
Adjustments for:				
Depreciation (Note 22)	218,847	221,120	-	-
Amortisation on leases (Note 23)	24,586	32,846	-	-
Interest expenses	492,341	344,598	-	-
Finance charge on leases (Note 23)	1,836	4,839	-	-
Amortisation of intangible assets (Note 24)	2,751	2,565	-	-
Gain/loss on disposal of assets	4,702	(1,451)	-	-
Post-employment benefits obligation	21,681	(39,923)	-	-
Gain on lease termination (Note 23)	(486)	-	-	-
Share of profit & amortization in associate	(16,781)	6,285	-	-
Working capital changes:				
-inventories	(560,701)	(786,152)	-	-
-trade and other receivables	769,998	(262,296)	(180)	(5)
-trade and other payables	(878,776)	1,667,560	43,460	42,203
Cash generated from operations	(724,953)	(9,867)	6	7

28 Cash and cash equivalents

For the purposes of the statement of cash flows, cash equivalents include short term liquid investments which are readily convertible into known amounts of cash and which were within three months of maturity when acquired, less advances from the bank repayable within three months from the date of advance as follows;

	Group		Company	
	2024	2023	2023	2023
	Shs'000	Shs'000	Shs'000	Shs'000
Cash and cash equivalents				
Bank balances	250,736	493,581	3,014	3,008
Cash balances	214	103	-	-
Cash and cash equivalents	250,950	493,684	3,014	3,008
Net debt reconciliation				
Cash and cash equivalents	250,950	493,684	-	-
Borrowings	2,332,007	1,074,630	-	-
Lease liability	39,146	29,966	-	-
Cash and cash equivalents	2,622,103	1,598,280	-	-

Notes (continued)

29 Capital commitments

	Group	
	2024	2023
	Shs'000	Shs'000
Authorised but not contracted for	437,518	565,019
Authorised and contracted for	46,801	117,003
	<u>484,319</u>	<u>682,022</u>

The bulk of the commitments relates to MCC fire suppression, maize sifter retrofit, silo roofing repairs and CCTV system upgrade. In addition, Silo rehabilitation, gantry and store C yard restoration for Nairobi Feeds. The authorized and contracted for commitments relates to the ongoing solar project for both Unga Limited and Unga Farm Care plants.

30 Related party transactions

During the year the following transactions were entered into with related and affiliated parties:

	Group		Company	
	2024	2023	2024	2023
	Shs'000	Shs'000	Shs'000	Shs'000
(i) Sale of goods and services				
Kenchic Limited	3,787,715	3,438,152	-	-
Tunga Nutrition Kenya Limited	1,476,843	811,156	-	-
Tunga Nutrition Uganda Limited	193,386	64,967	-	-
Tanbreed Poultry Limited	158,656	67,621	-	-
	<u>5,616,600</u>	<u>4,381,896</u>	<u>-</u>	<u>-</u>
(ii) Purchase of goods and services:				
<i>Purchases of raw materials</i>				
Seaboard Overseas Limited	1,047,358	5,184,363	-	-
<i>Purchases of equipment and spares</i>				
Seaboard Overseas Group	30,994	17,320	-	-
<i>Intrest charged on trade finance</i>				
Seaboard Overseas Group	117,428	-	-	-
	<u>1,195,780</u>	<u>5,201,683</u>	<u>-</u>	<u>-</u>

Notes (continued)

30 Related party transactions (continued)

Seaboard is affiliated by virtue of being part of the non-controlling interest as set out in Note 16. Seaboard Corporation is a company with significant shareholding in the parent company. Seaboard Overseas Limited, Seaboard Overseas Group and Seaboard Overseas Management Company are subsidiaries of Seaboard Corporation.

The group is also related to some of its customers by virtue of common shareholding. These are Kenchic Limited and NAS Holdings Limited and its affiliates.

	Group		Company	
	2024 Shs'000	2023 Shs'000	2024 Shs'000	2023 Shs'000
(iii) Key management compensation				
Salaries and other short-term employment benefits	157,146	197,446	-	-
(iv) Directors' remuneration				
Fees for services as director	24,138	24,564	24,138	24,174
Other emoluments	56,256	56,605	-	-
	<u>80,394</u>	<u>81,169</u>	<u>24,138</u>	<u>24,174</u>
(v) Due to related parties				
Trade payables:				
Tunga Nutrition (K) Limited	983	4,592	-	-
Seaboard Corporation	865,661	1,476,210	-	-
	<u>866,644</u>	<u>1,480,802</u>	<u>-</u>	<u>-</u>
Other payables				
Unga Limited	-	-	151,503	314,697
Unga Farm Care (EA) Limited	-	-	137,940	-
Unga Investment Limited	-	-	67,266	-
	<u>866,644</u>	<u>1,480,802</u>	<u>356,709</u>	<u>314,697</u>
(vi) Due from related parties				
Trade receivables:				
Kenchic Limited	580,249	431,591	-	-
Tanbreed Poultry Limited	29,827	15,953	-	-
Tunga Nutrition Kenya Limited	381,484	334,941	-	-
Tunga Nutrition Uganda Limited	58,474	17,645	-	-
	<u>1,050,034</u>	<u>800,130</u>	<u>-</u>	<u>-</u>
Other receivables:				
Unga Holdings Limited	-	-	7,476	7,312
Seaboard Corporation subsidiaries	607	-	49,696	49,696
	<u>607</u>	<u>-</u>	<u>57,172</u>	<u>57,008</u>
	<u>1,050,641</u>	<u>800,130</u>	<u>57,172</u>	<u>57,008</u>

Notes (continued)

31 Investment in associate

During the year ended 30 June 2022, management finalized the formation and commissioning of two partnerships with Nutreco namely Tunga Nutrition (K) Limited and Tunga Nutrition (U) Limited.

Tunga Nutrition (K) Limited brought together the total existing aquafeed business of Unga Farm Care (E.A.) Limited and Nutreco within the East Africa region, into a 50/50 venture with Nutreco having management control over the venture. Unga Farm Care (E.A.) Limited contributed its fish feed plant, its aquafeed customers and cash while Nutreco contributed its aquafeed customers and cash.

Tunga Nutrition (U) Limited brought together the animal nutrition businesses of Unga Farm Care (E.A.) Limited and Nutreco B.V. within Uganda into a 50/50 venture, with Nutreco B.V. having management control of the venture. Unga Millers (U) Limited contributed its property plant and equipment, Unga Farm Care animal nutrition customers in Uganda and cash to the venture, while Nutreco contributed its animal nutrition customers in Uganda and cash.

(i) Summarised financial information for associate

The tables below provide summarized financial information for the associate accounted for using the equity method:

Summarised balance sheet at 30 June

	Tunga N Kenya 2024 Shs'000	Tunga N Uganda 2024 Shs'000	Total 2024 Shs'000	Tunga N Kenya 2023 Shs'000	Tunga N Uganda 2023 Shs'000	Total 2023 Shs'000
<i>Current assets:</i>						
Cash and cash equivalents	408,142	85,080	493,222	262,286	116,009	378,295
Other current assets	633,066	665,779	1,298,845	665,897	1,374,181	2,040,078
<i>Non-current assets</i>						
Property, Plant and Equipment	562,425	1,125,209	1,687,634	587,406	963,925	1,551,331
Right of use assets	109,363	-	109,363	-	-	-
Intangible assets	258,953	148,424	407,377	359,193	208,552	567,745
<i>Non-current liabilities:</i>						
Lease liability	(129,783)	-	(129,783)	-	-	-
Other non-current liabilities	(30,900)	-	(30,900)	-	-	-
<i>Current liabilities:</i>						
Other current liabilities	(511,222)	(353,854)	(865,076)	(557,995)	(121,831)	(679,826)
Net assets	<u>1,300,044</u>	<u>1,670,638</u>	<u>2,970,682</u>	<u>1,316,787</u>	<u>2,540,836</u>	<u>3,857,623</u>

Notes (continued)

31 Investment in associate (continued)

Summarised statement of comprehensive income for the 12 months ended 30 June 2024

	Tunga N Kenya 2024 Shs'000	Tunga N Uganda 2024 Shs'000	Total 2024 Shs'000	Tunga N Kenya 2023 Shs'000	Tunga N Uganda 2023 Shs'000	Total 2023 Shs'000
Revenue	2,589,791	1,725,897	4,315,688	2,055,333	600,047	2,655,380
Expenses	(2,490,351)	(1,540,638)	(4,030,989)	(1,874,659)	(545,537)	(2,420,196)
Net interest income/ (expenses)	-	583	583	-	(57,471)	(57,471)
Depreciation and amortisation	(89,984)	(81,132)	(171,116)	(80,885)	(29,904)	(110,789)
Income tax expense	(32,182)	(48,422)	(80,604)	(60,009)	(19,486)	(79,495)
Profit for the period	(22,726)	56,288	33,562	39,780	(52,351)	(12,571)
Other comprehensive income	-	-	-	-	-	-
Total comprehensive income	(22,726)	56,288	33,562	39,780	(52,351)	(12,571)
Company share of profit (50%)	(11,363)	28,144	16,781	19,890	(26,175)	(6,285)
Reconciliation to carrying amounts:						
Opening investment value as at 1st July 2023	674,058	818,678	1,492,736	654,168	704,072	1,358,240
Share of profit in joint venture	(11,363)	28,473	17,110	19,890	(26,175)	(6,285)
Translation Adjustment	-	(10,826)	(10,826)	-	140,780	140,780
Investment carrying amount	662,695	836,325	1,499,020	674,058	818,677	1,492,735